

FINANCIAL STATEMENT ANALYSIS

GLOBAL AIRLINE INDUSTRY

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GLOBAL AIRLINE INDUSTRY

Pioneering Beginnings (1909–1914)

Originating with DELAG in 1909 using Zeppelin airships, the industry evolved with CGT's fixed-wing cargo (1911) and the iconic St. Petersburg–Tampa Airboat Line's scheduled flights in 1914.

Privatization & Major Alliances

Post-1980s privatization triggered extensive airline mergers and massive codeshare partnerships. Today, the global market is led by three key alliances: Star Alliance, SkyTeam, and Oneworld.

Primary Revenue & Fleet Operations

Operations center on scheduled passenger routes and belly-space cargo transport. Core revenue streams rely on direct ticket sales augmented by seat selections, baggage fees, and in-flight services.



THE THREE TYPES OF AIRLINES

-  **International:** Multibillion-dollar global operations connecting hundreds of hubs using large passenger jets (e.g., Delta, Southwest).
-  **National:** Mid-to-large-sized fleets catering to domestic hubs with targeted, demand-driven international networks.
-  **Regional:** Smaller specialized carriers covering low-demand locations, frequently acting as feeder affiliates for major airlines.

US PREMIUM AND MEDIUM AIRLINES

AIRLINE	CLASSIFICATION	PRIMARY HUBS	OPERATIONAL SCALE	STRATEGIC HIGHLIGHTS
American Airlines AAL / Alliance Oneworld	PREMIUM AIRLINE	Dallas/Fort Worth (DFW)	Over 6,700 daily flights servicing, 350 and more destinations	Retains its position as the world's largest airline following the US Airways merger.
Delta Air Lines DAL / Alliance SkyTeam	PREMIUM AIRLINE	Atlanta (ATL - Principal), JFK, LAX	Mainline fleet of 951 aircraft, 260M passengers	Ranked number 1 globally by revenue with \$55B generated in top operational efficiency.
United Airlines UAL / Alliance Star Alliance	PREMIUM AIRLINE	Chicago O'Hare (ORD)	Massive workforce of 86,852 and 1,262 aircraft	Serves over 1,000 destinations globally across 170 countries worldwide.
Alaska Air Group ALK / Alliance Oneworld	MEDIUM AIRLINE	Seattle-Tacoma (SEA),	Mainline fleet connecting 140 and more destinations	Acquired Virgin America and Hawaiian Airlines to secure total West Coast dominance.

US LOW-COST AND ULTRA LOW-COST AIRLINES

AIRLINE	CLASSIFICATION	PRIMARY HUBS	OPERATIONAL SCALE	STRATEGIC HIGHLIGHTS
Southwest Airlines LUV / NYSE LISTED	LOW-COST	Dallas Love Field (DAL)	Pioneering fleet of 685 and more Boeing 737s	Executing 15% workforce downside to lock in \$300M in savings by 2026.
JetBlue Airways JBLU / NASDAQ LISTED	LOW-COST	New-York (JFK), Boston	Active order book of 60 Airbus A220s	Pioneered cabin Wi-Fi, terminated \$3.6B Spirit merger due to regulatory pressure.
Allegiant Air ALGT / NASDAQ LISTED	ULTRA LOW-COST	Las Vegas (LAS)	Serves 124 destinations across the US	Finalized the \$1.5B acquisition of Sun Country Airlines on May 15, 2026
Frontier Airlines ULCC / INDIGO PARTNERS	ULTRA LOW-COST	Denver (DEN)	All A320/A321 fleet to 74 destinations	Withdrew \$2.9B Spirit bid after JetBlue presented a superior competitive offer.

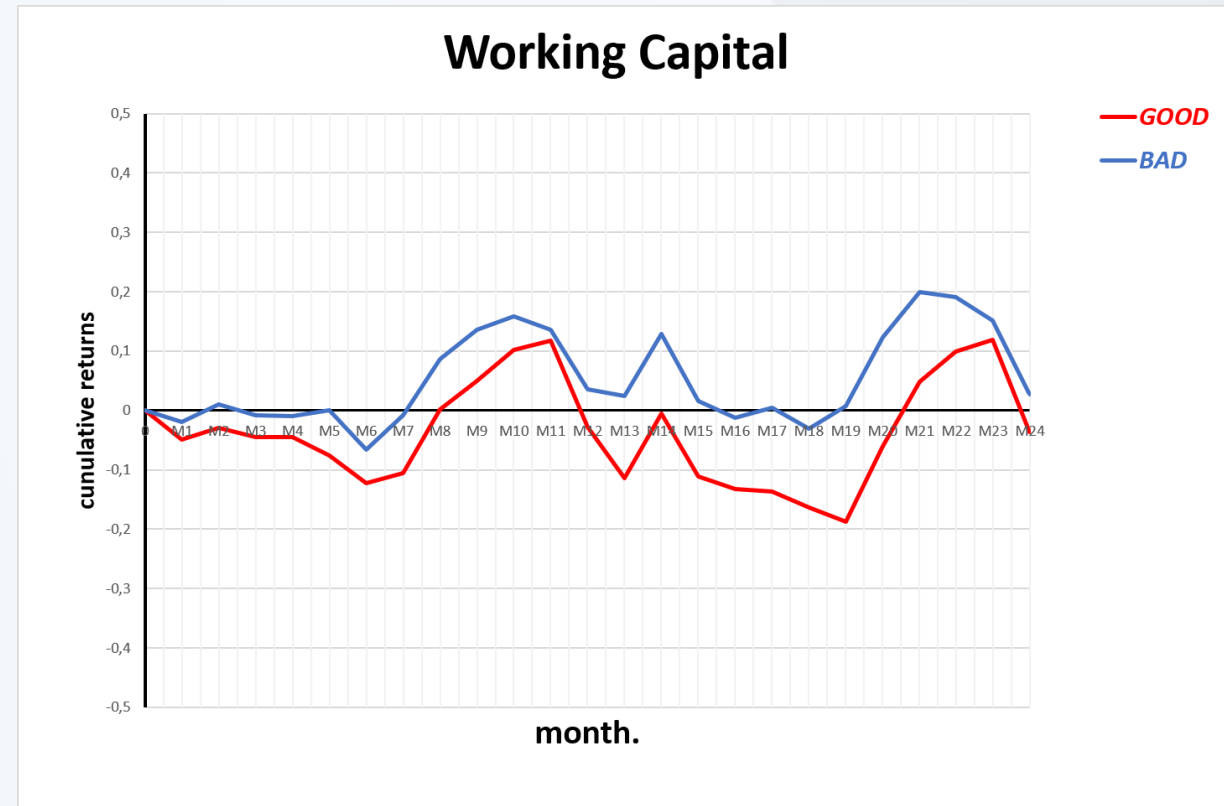
WORKING CAPITAL RATIO

	2021	2022	2023	2024	2025
AAL	-0,03	-0,10	-0,13	-0,18	-0,20
LUV	0,54	0,34	0,14	-0,11	-1,43
ULCC	-0,07	-0,12	-0,16	-0,14	-0,16
ALGT	0,02	0,09	-0,04	-0,06	-0,01
JBLU	-0,01	-0,10	-0,12	-0,12	-0,16
ALK	-0,01	-0,14	-0,11	0,02	-0,07
UAL	0,05	-0,03	-0,02	-0,06	-0,12
DAL	-0,07	-0,18	-0,22	-0,22	-0,20

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	7	7	7	7
LUV	1	1	1	4	5
ULCC	6	3	3	3	2
ALGT	3	2	2	2	1
JBLU	5	5	4	1	3
ALK	4	4	6	5	4
UAL	2	6	5	6	6
DAL	8	8	8	8	8



- Short-term financial flexibility
- Paradoxically, the BAD portfolio outperforms the GOOD portfolio
→ Need to consider airlines scale of operation

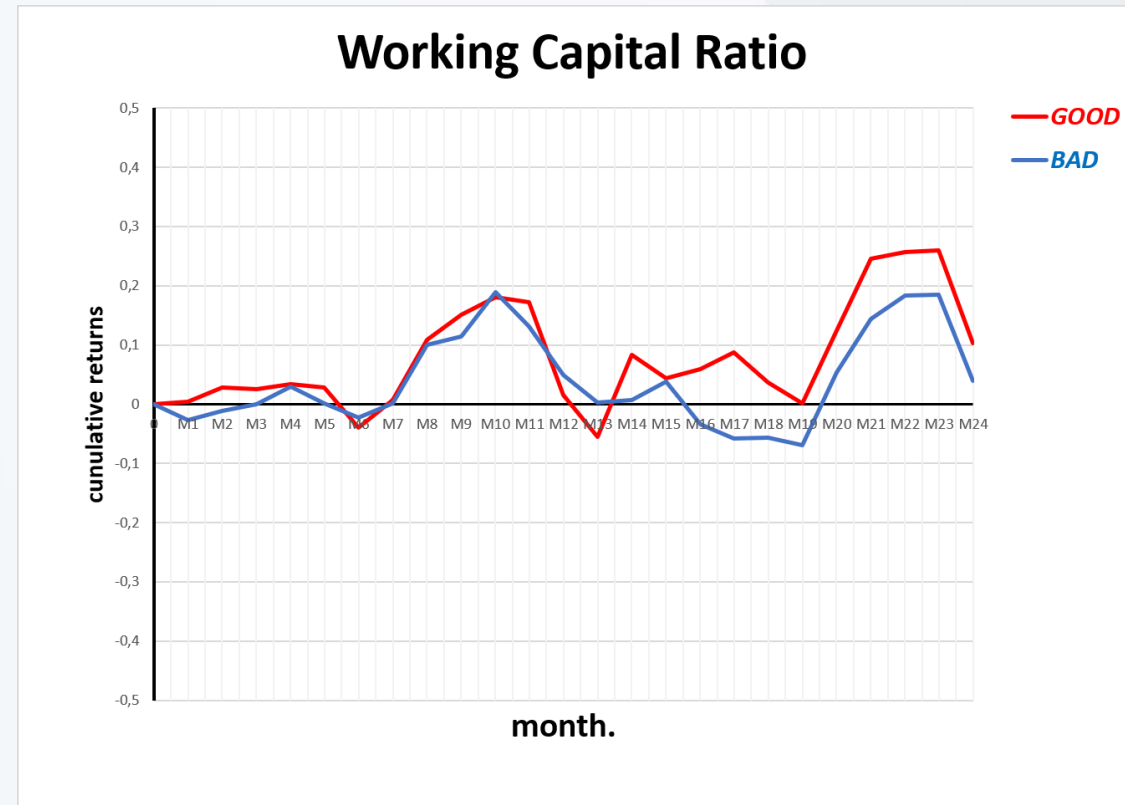
WORKING CAPITAL RATIO

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ULCC	-0,07	-0,12	-0,16	-0,14	-0,16
ALGT	0,02	0,09	-0,04	-0,06	-0,01
JBLU	-0,01	-0,10	-0,12	-0,12	-0,16
ALK	-0,01	-0,14	-0,11	0,02	-0,07
UAL	0,05	-0,03	-0,02	-0,06	-0,12
DAL	-0,07	-0,18	-0,22	-0,22	-0,20

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	6	4	6	7	6
LUV	1	1	1	4	8
ULCC	7	6	7	6	4
ALGT	3	2	3	3	1
JBLU	4	5	5	5	5
ALK	5	7	4	1	2
UAL	2	3	2	2	3
DAL	8	8	8	8	7



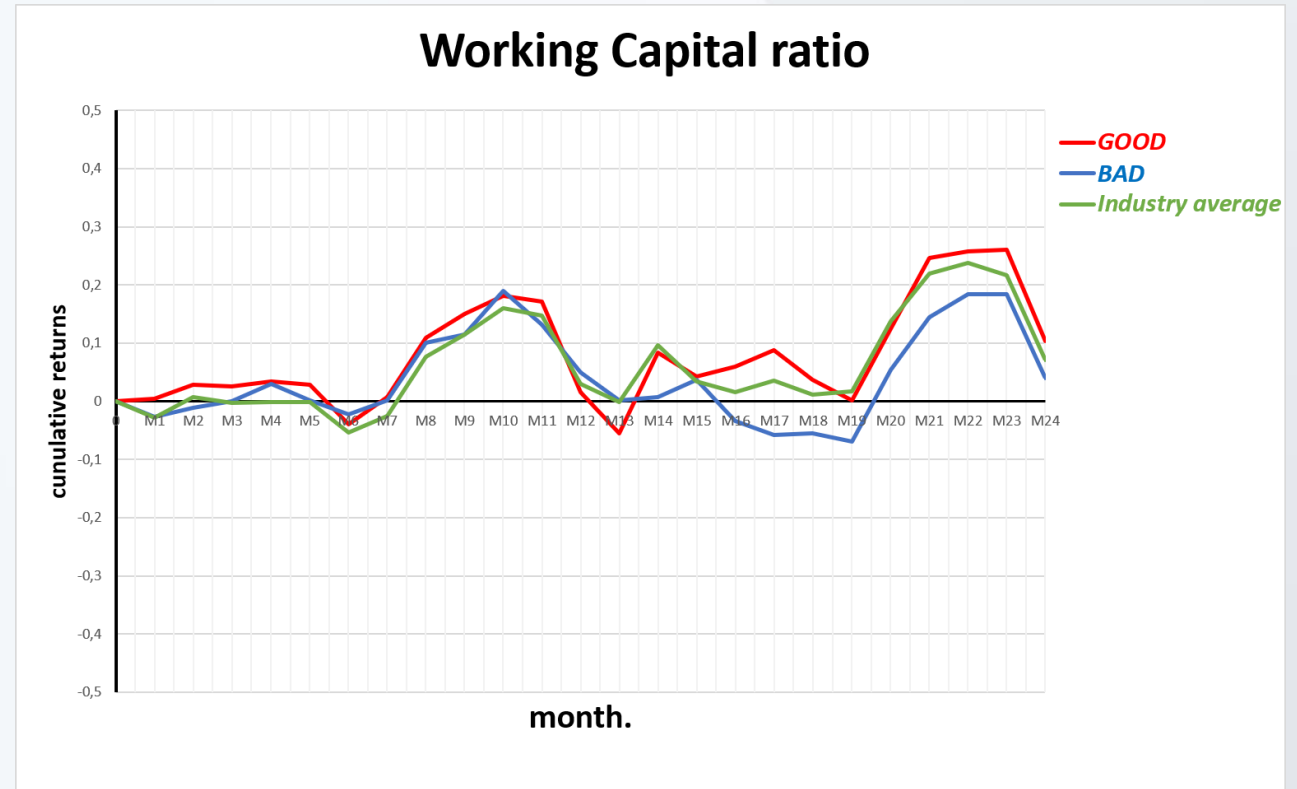
- Need to eliminate the size impact
- Now, the GOOD portfolio outperforms the BAD portfolio
→ Better liquidity drives superior returns

WORKING CAPITAL RATIO

	2021	2022	2023	2024	2025
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LUV	0,54	0,34	0,14	-0,11	-1,43
ULCC	-0,07	-0,12	-0,16	-0,14	-0,16
ALGT	0,02	0,09	-0,04	-0,06	-0,01
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ALK	-0,01	-0,14	-0,11	0,02	-0,07
UAL	0,05	-0,03	-0,02	-0,06	-0,12
DAL	-0,07	-0,18	-0,22	-0,22	-0,20

GOOD	BAD
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	2021	2022	2023	2024	2025
AAL	6	4	6	7	6
LUV	1	1	1	4	8
ULCC	7	6	7	6	4
ALGT	3	2	3	3	1
JBLU	4	5	5	5	5
ALK	5	7	4	1	2
UAL	2	3	2	2	3
DAL	8	8	8	8	7



- GOOD group tracks the Industry Index line
 - BAD group stays below
- Industry Index rewards airlines with higher working capital

CURRENT RATIO

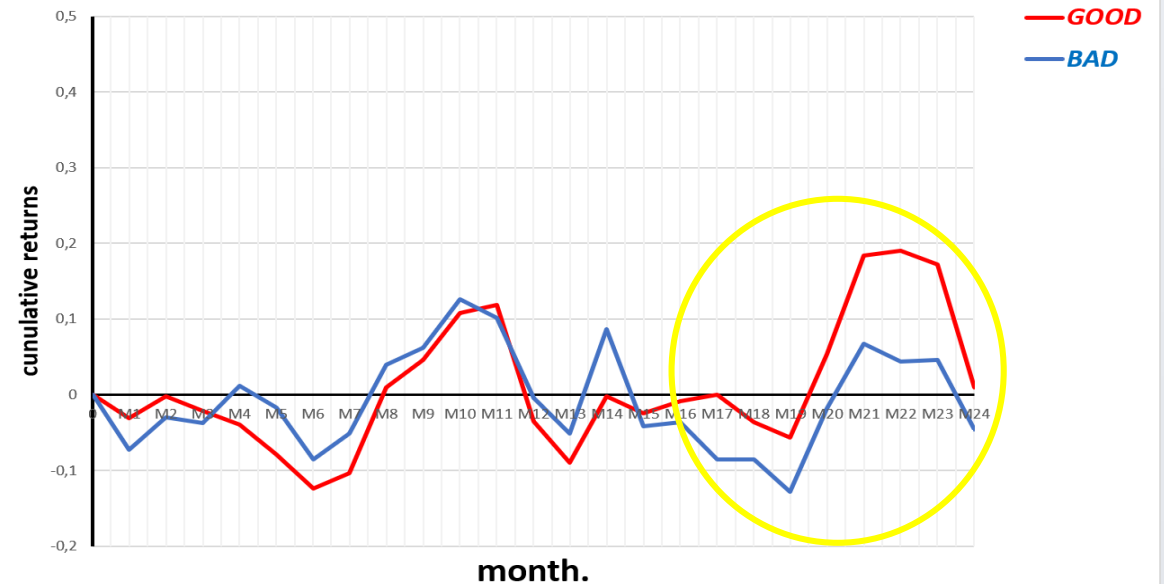
	2021	2022	2023	2024	2025
AAL	0,912	0,710	0,615	0,541	0,498
LUV	1,968	1,427	1,139	0,918	0,517
ULCC	0,782	0,656	0,525	0,535	0,456
ALGT	2,019	1,465	0,826	0,776	0,950
JBLU	0,950	0,511	0,595	1,097	0,736
ALK	0,982	0,677	0,607	0,612	0,496
UAL	1,193	0,903	0,925	0,810	0,645
DAL	0,760	0,502	0,389	0,369	0,397

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	6	4	4	6	5
LUV	2	2	1	2	4
ULCC	7	6	7	7	7
ALGT	1	1	3	4	1
JBLU	5	7	6	1	2
ALK	4	5	5	5	6
UAL	3	3	2	3	3
DAL	8	8	8	8	8

Current ratio



- Ratio usually very low in the airline industry
 - Shows sensitivity to price and demand variations
 - GOOD group clearly wins in the long run
- Higher current ratio shows long-term structural resilience

CURRENT RATIO

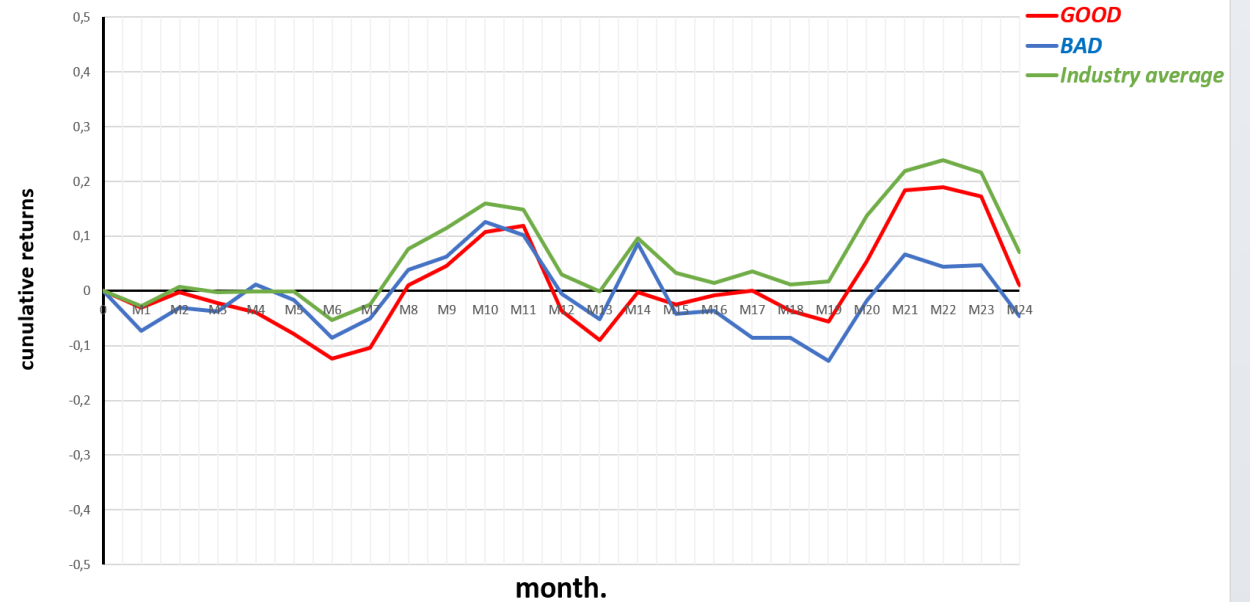
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Current Ratio



- Industry index outperforms the GOOD and BAD groups
- Too high or too low current ratio is not optimal; balance is preferred

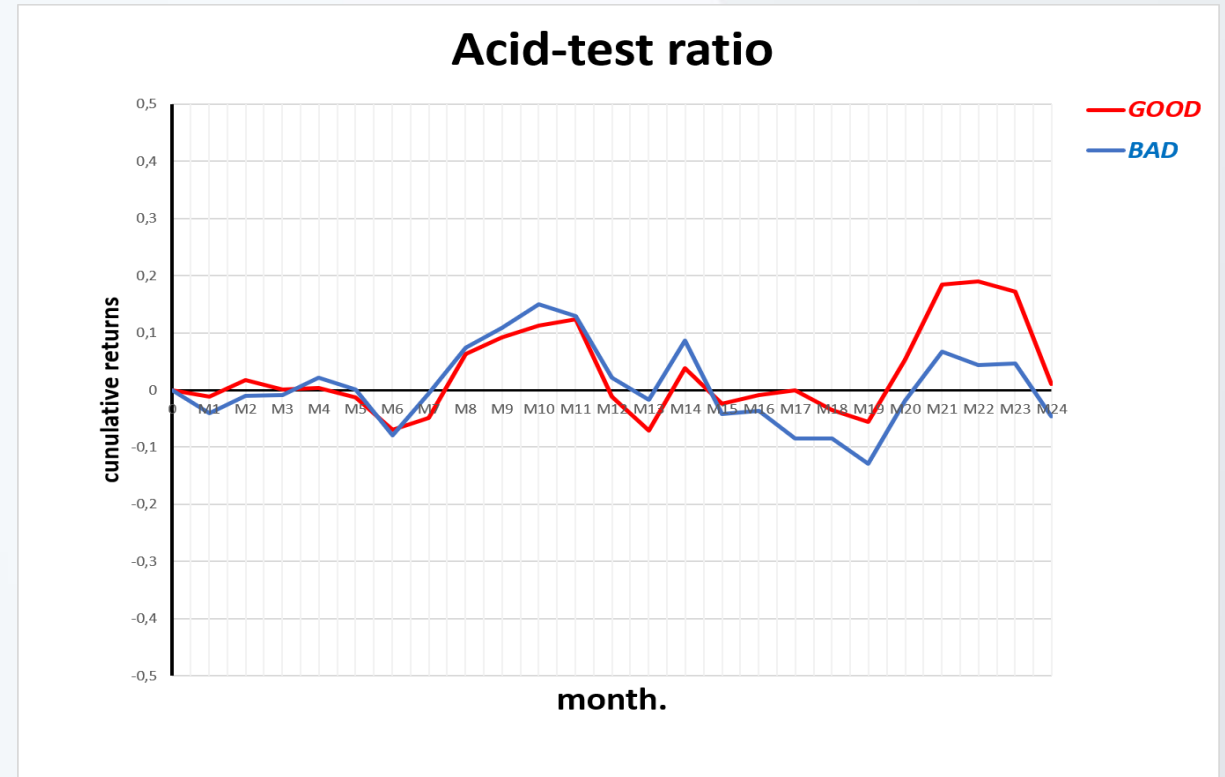
ACID-TEST RATIO

	2021	2022	2023	2024	2025
AAL	0,733	0,517	0,435	0,370	0,323
LUV	1,840	1,285	1,030	0,801	0,401
ULCC	0,730	0,547	0,423	0,439	0,359
ALGT	1,878	1,221	0,730	0,682	0,847
JBLU	0,892	0,456	0,525	1,020	0,575
ALK	0,918	0,604	0,488	0,494	0,408
UAL	1,139	0,853	0,847	0,810	0,585
DAL	0,727	0,447	0,339	0,316	0,339

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	6	6	6	7	8
LUV	2	1	1	3	5
ULCC	7	5	7	6	6
ALGT	1	2	3	4	1
JBLU	5	7	4	1	3
ALK	4	4	5	5	4
UAL	3	3	2	2	2
DAL	8	8	8	8	7



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ACID-TEST RATIO

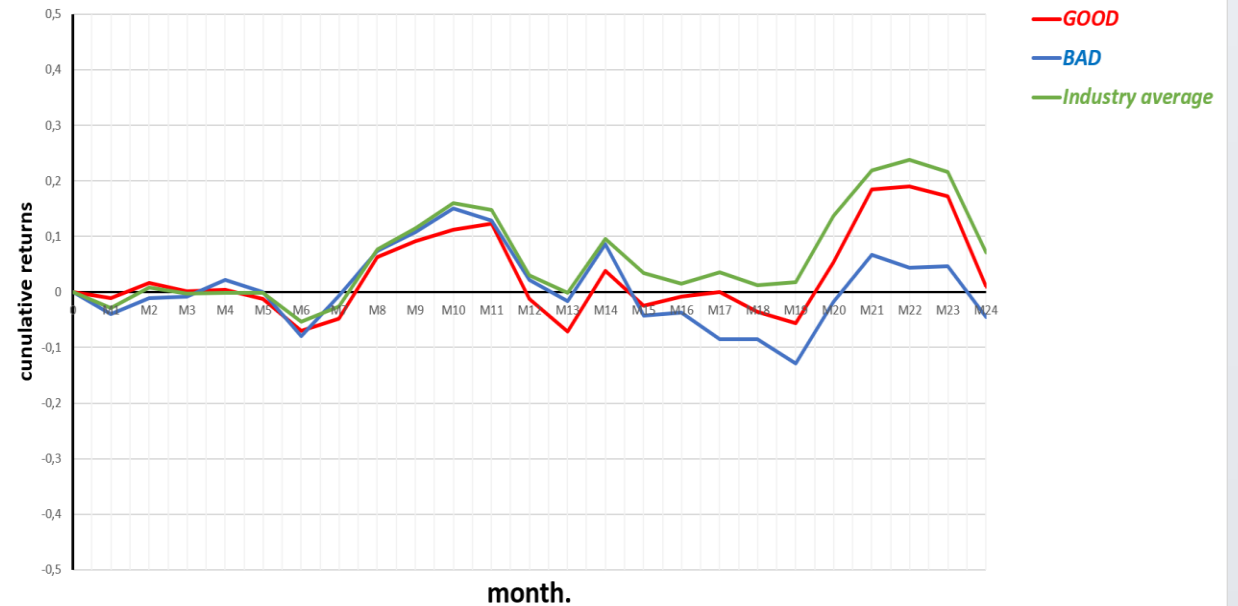
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Acid-test ratio



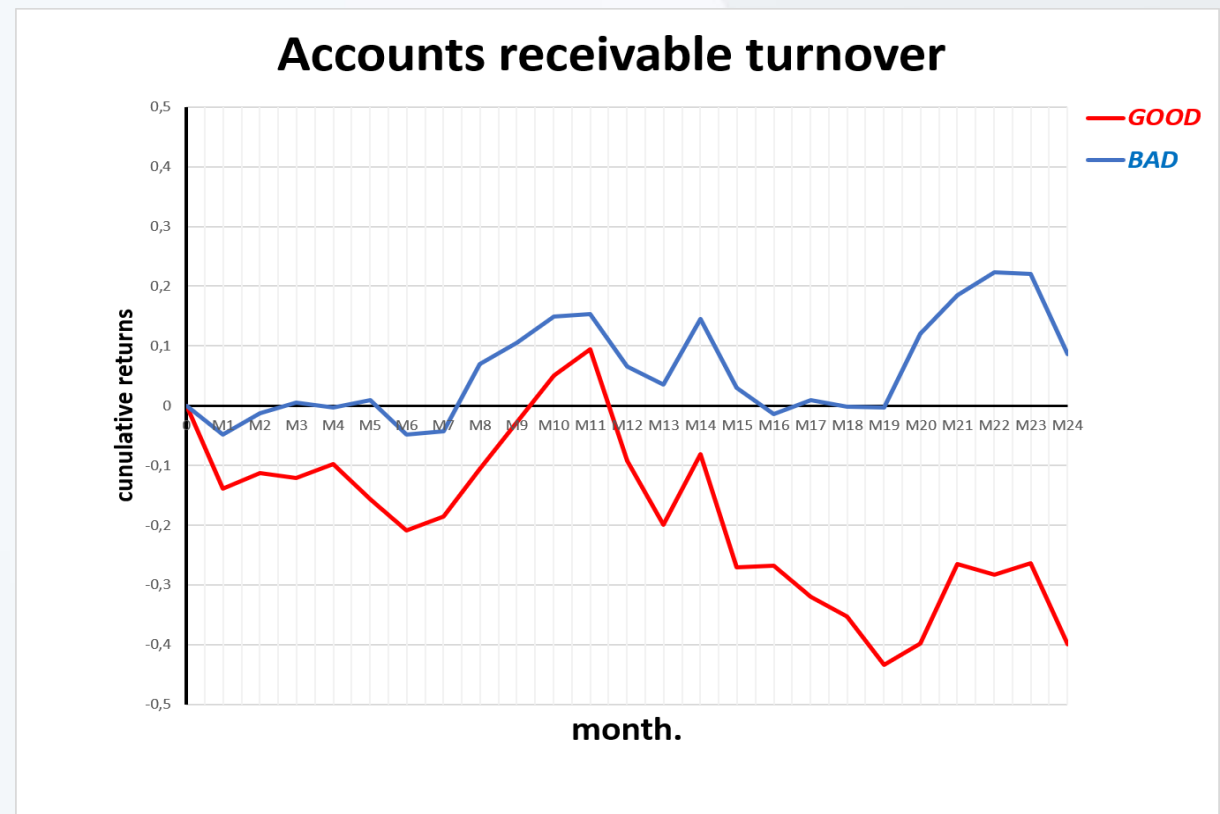
- Similar to current ratios
- Having high short-term liquidity ratios is rewarded in the long run

ACCOUNTS RECEIVABLE TURNOVER

	2021	2022	2023	2024	2025
AAL	20,99	26,88	25,35	26,89	26,77
LUV	12,70	19,87	23,78	22,14	21,41
ULCC	52,82	47,51	39,22	45,48	47,14
ALGT	13,40	27,20	28,31	31,18	35,34
JBLU	39,59	34,95	29,45	27,13	25,17
ALK	12,04	22,91	30,71	24,94	25,36
UAL	16,66	25,96	29,04	28,10	25,94
DAL	15,74	18,13	18,41	19,40	20,86

GOOD	BAD
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	2021	2022	2023	2024	2025
AAL	3	4	6	5	3
LUV	7	7	7	7	7
ULCC	1	1	1	1	1
ALGT	6	3	5	2	2
JBLU	2	2	3	4	6
ALK	8	6	2	6	5
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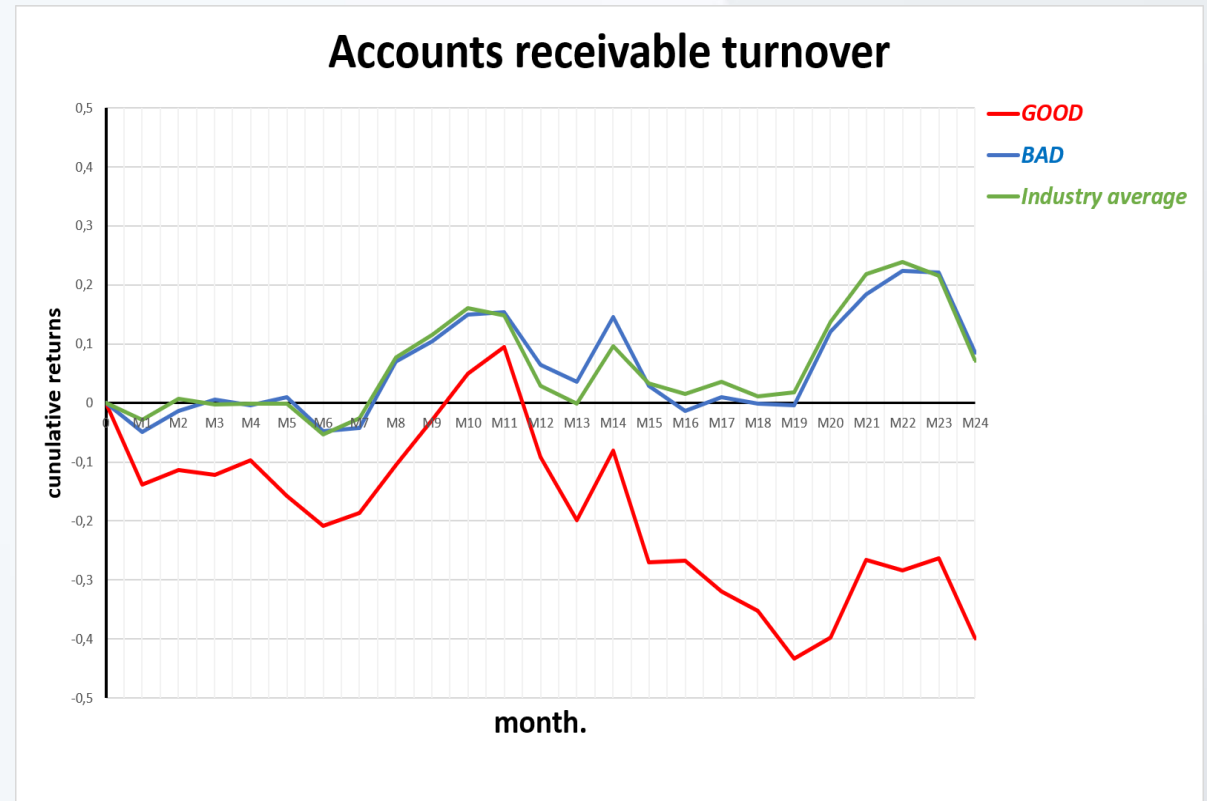
- BAD group completely outperforms the GOOD group
- Difference in business models
 - High turnover signals reliance on high-volume, low-margin passengers
 - Low turnover reflects a stable model with high-value corporate customers

ACCOUNTS RECEIVABLE TURNOVER

	2021	2022	2023	2024	2025
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LUV	12,70	19,87	23,78	22,14	21,41
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GOOD	BAD
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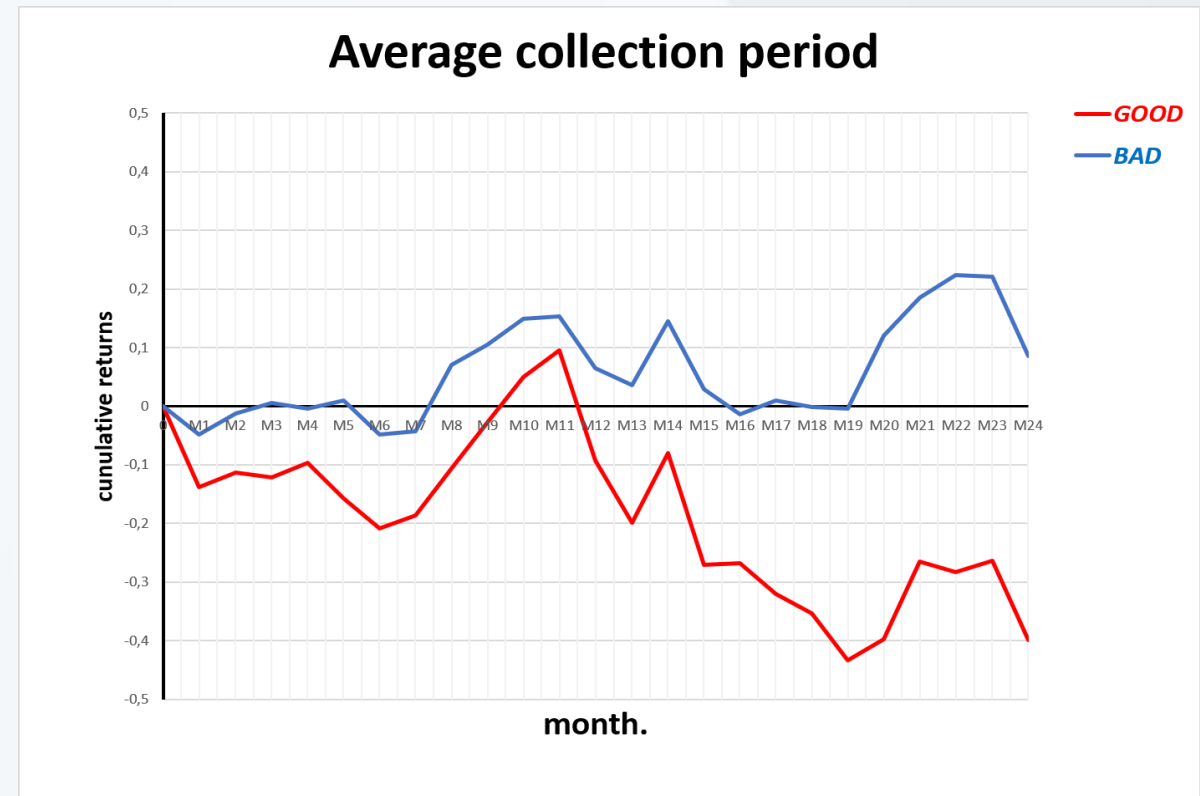
- BAD group follows the Industry Index
→ Extending credit is the standard, a driver for airline performance

AVERAGE COLLECTION PERIOD

	2021	2022	2023	2024	2025
AAL	17,39	13,58	14,40	13,57	13,63
LUV	28,74	18,37	15,35	16,49	17,05
ULCC	6,91	7,68	9,31	8,03	7,74
ALGT	27,23	13,42	12,89	11,71	10,33
JBLU	9,22	10,44	12,39	13,45	14,50
ALK	30,32	15,93	11,89	14,63	14,39
UAL	21,91	14,06	12,57	12,99	14,07
DAL	23,19	20,13	19,83	18,81	17,49

GOOD	BAD
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	2021	2022	2023	2024	2025
AAL	3	4	6	5	3
LUV	7	7	7	7	7
ULCC	1	1	1	1	1
ALGT	6	3	5	2	2
JBLU	2	2	3	4	6
ALK	8	6	2	6	5
UAL	4	5	4	3	4
DAL	5	8	8	8	8



- Similar to AR turnover, but in days

AVERAGE COLLECTION PERIOD

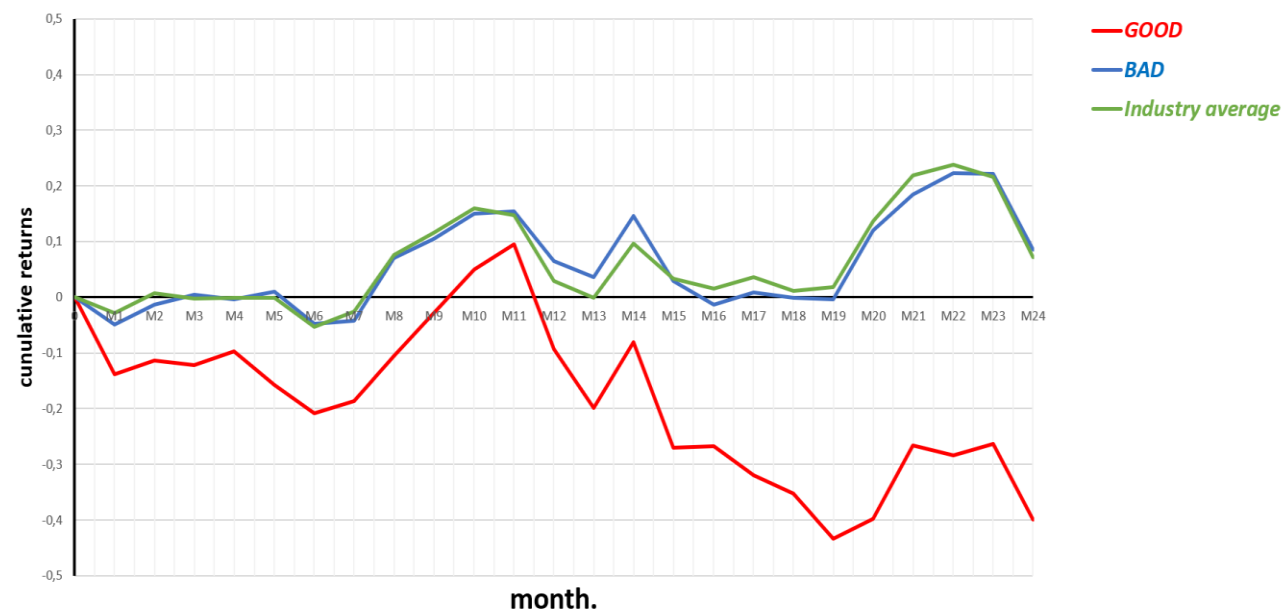
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GOOD

BAD

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ULCC	1	1	1	1	1
ALGT	6	3	5	2	2
JBLU	2	2	3	4	6
ALK	8	6	2	6	5
UAL	4	5	4	3	4
DAL	5	8	8	8	8

Average collection period



→ Preference for delayed, yet stable revenues of big carriers

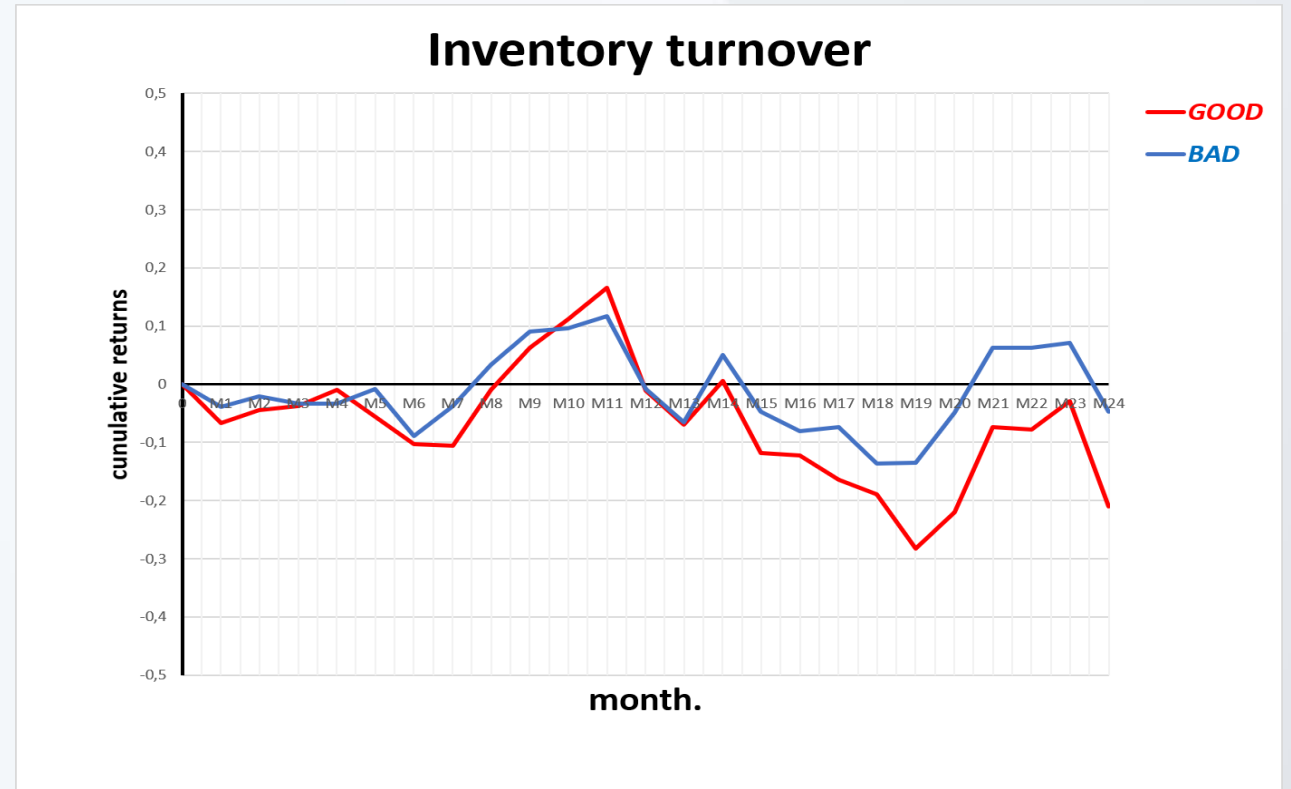
INVENTORY TURNOVER

	2021	2022	2023	2024	2025
AAL	18,14	23,25	21,27	20,48	19,58
LUV	29,59	34,36	32,39	33,80	35,09
ULCC	92,64	80,26	53,61	47,05	45,83
ALGT	56,10	70,11	63,69	76,03	72,89
JBLU	84,37	117,47	100,46	74,63	58,75
ALK	92,29	115,37	91,20	70,89	69,33
UAL	29,26	40,74	37,08	33,29	34,58
DAL	30,62	37,21	38,37	40,59	37,99

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	8	8	8	8	8
LUV	6	7	7	6	6
ULCC	1	3	4	4	4
ALGT	4	4	3	1	1
JBLU	3	1	1	2	3
ALK	2	2	2	3	2
UAL	7	5	6	7	7
DAL	5	6	5	5	5



- BAD group is doing better than the GOOD group on the long run
→ Slower turnover: a guarantee for smooth operations

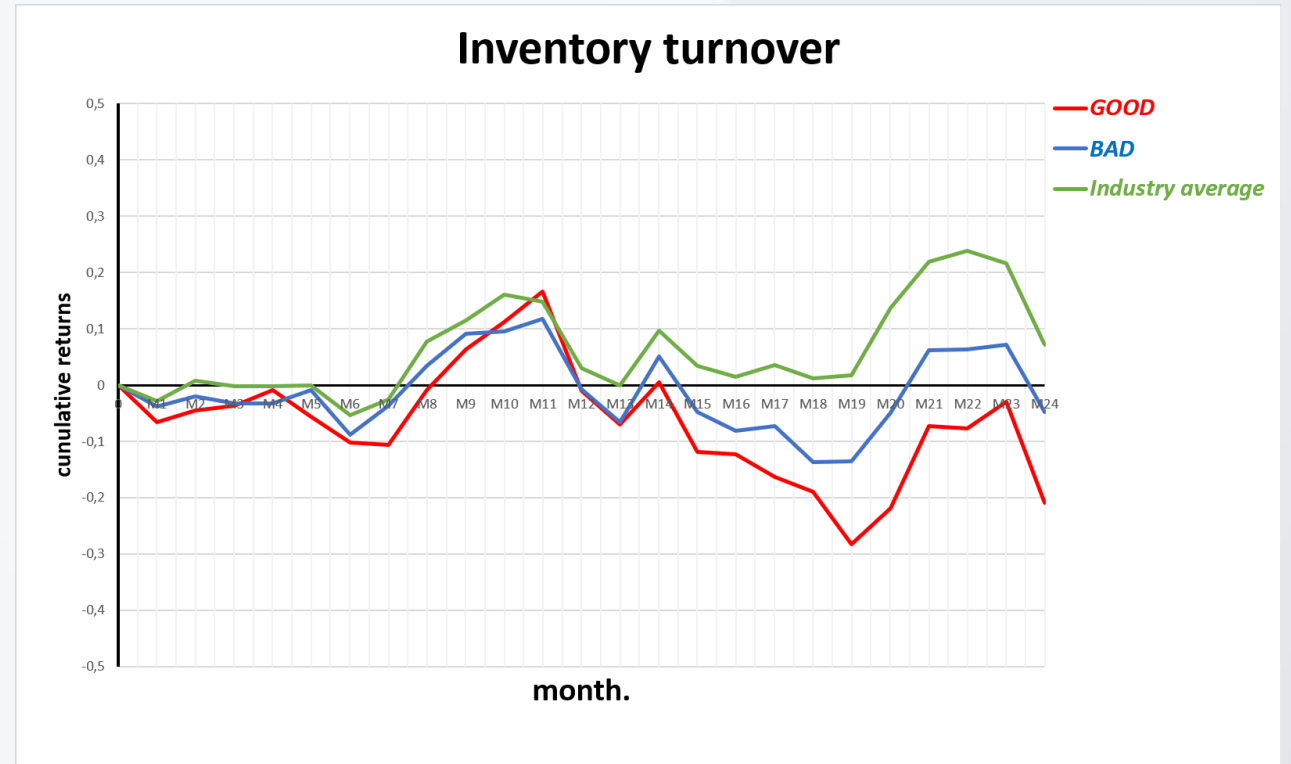
INVENTORY TURNOVER

	2021	2022	2023	2024	2025
AAL	18,14	23,25	21,27	20,48	19,58
LUV	29,59	34,36	32,39	33,80	35,09
ULCC	92,64	80,26	53,61	47,05	45,83
ALGT	56,10	70,11	63,69	76,03	72,89
JBLU	84,37	117,47	100,46	74,63	58,75
ALK	92,29	115,37	91,20	70,89	69,33
UAL	29,26	40,74	37,08	33,29	34,58
DAL	30,62	37,21	38,37	40,59	37,99

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	8	8	8	8	8
LUV	6	7	7	6	6
ULCC	1	3	4	4	4
ALGT	4	4	3	1	1
JBLU	3	1	1	2	3
ALK	2	2	2	3	2
UAL	7	5	6	7	7
DAL	5	6	5	5	5



- GOOD and BAD groups underperforms the industry index
→ Having an optimized, balanced inventory management is the key

AVERAGE SALE PERIOD

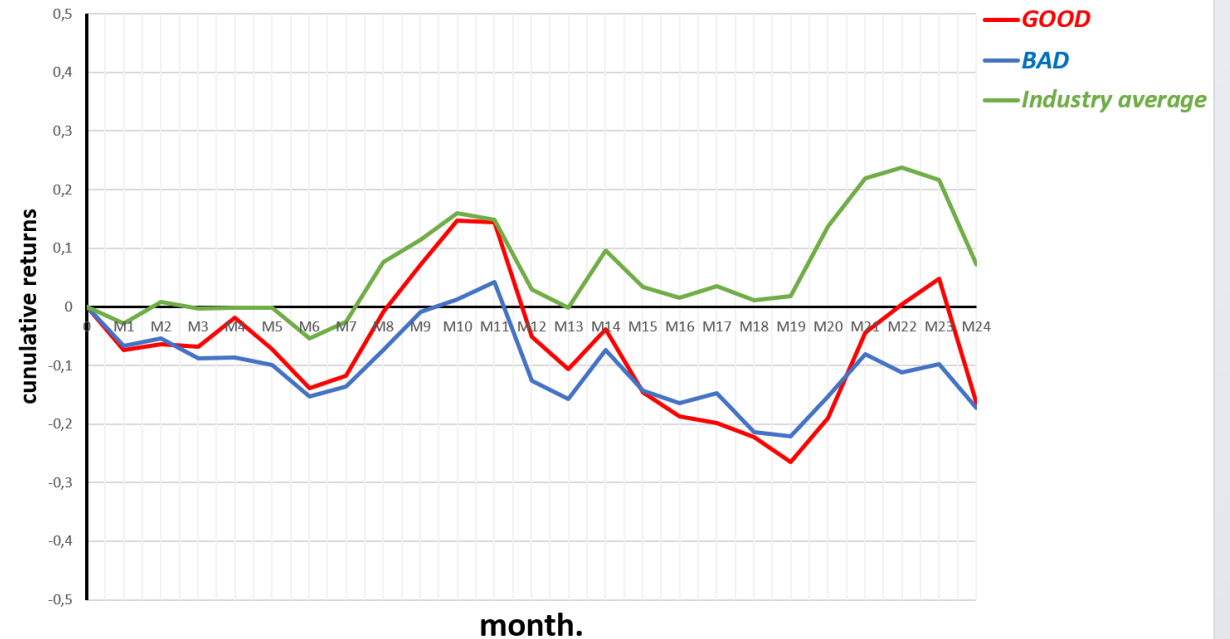
	2021	2022	2023	2024	2025
AAL	20,12	15,70	17,16	17,82	18,64
LUV	12,34	10,62	11,27	10,80	10,40
ULCC	3,94	4,55	6,81	7,76	7,96
ALGT	6,51	5,21	5,73	4,80	5,01
JBLU	9,22	10,44	12,39	13,45	14,50
ALK	3,96	3,16	4,00	5,15	5,26
UAL	12,48	8,96	9,84	10,96	10,56
DAL	11,92	9,81	9,51	8,99	9,61

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	8	8	8	8	8
LUV	6	7	6	5	5
ULCC	1	2	3	3	3
ALGT	3	3	2	1	1
JBLU	4	6	7	7	7
ALK	2	1	1	2	2
UAL	7	4	5	6	6
DAL	5	5	4	4	4

Average sale period



- Similar to Inventory Turnover
→ Having an optimized, balanced inventory management is the key

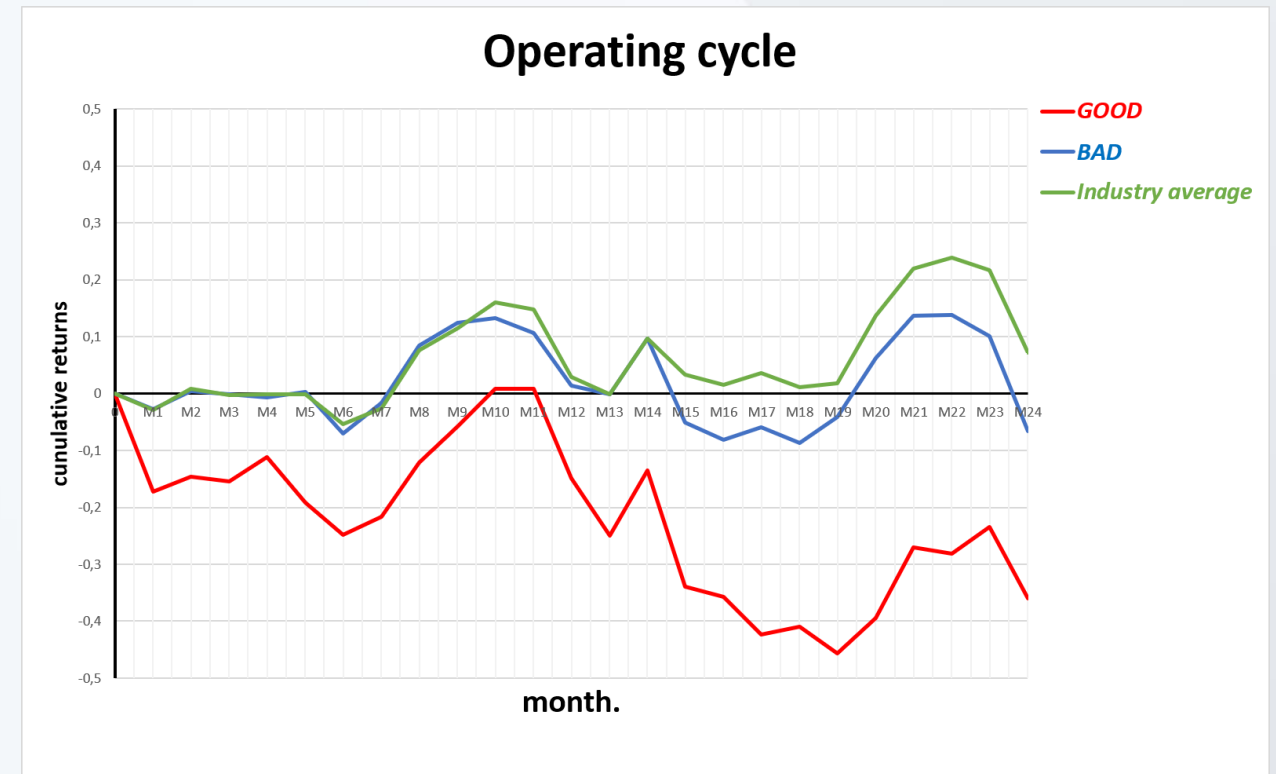
OPERATING CYCLE

	2021	2022	2023	2024	2025
AAL	37,51	29,27	31,56	31,39	32,27
LUV	41,08	28,99	26,61	27,29	27,45
ULCC	10,85	12,23	16,11	15,78	15,71
ALGT	33,74	18,62	18,62	16,51	15,34
JBLU	13,55	13,55	16,03	18,34	20,71
ALK	34,27	19,09	15,89	19,78	19,66
UAL	34,39	23,02	22,41	23,95	24,63
DAL	35,12	29,94	29,34	27,80	27,10

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	7	8	8	8
LUV	8	6	6	6	7
ULCC	1	1	3	1	2
ALGT	3	3	4	2	1
JBLU	2	2	2	3	4
ALK	4	4	1	4	3
UAL	5	5	5	5	5
DAL	6	8	7	7	6



- Preference for slower operating cycle
- Fast operating cycle is a sign of structural vulnerability
- Investors prefer operational resilience

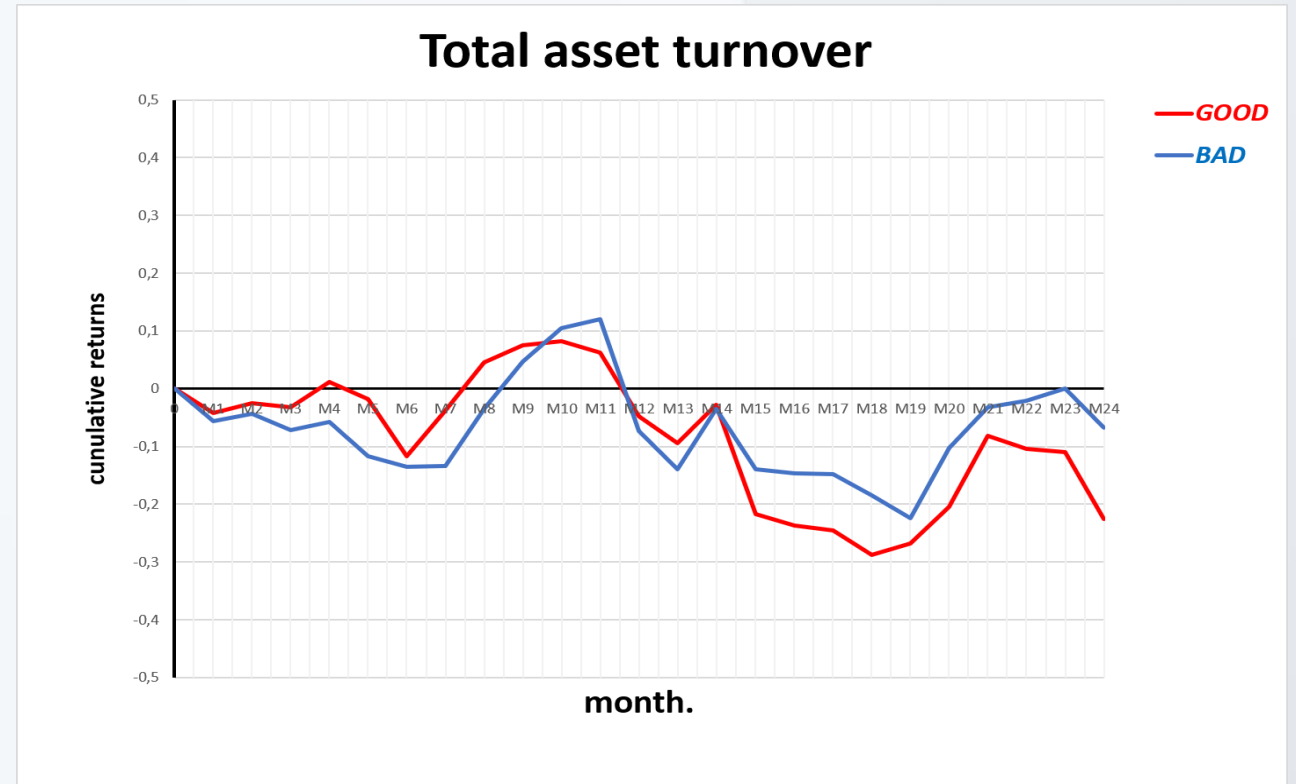
TOTAL ASSET TURNOVER

	2021	2022	2023	2024	2025
AAL	0,47	0,75	0,83	0,87	0,88
LUV	0,95	0,66	0,73	0,78	0,89
ULCC	0,53	0,74	0,76	0,68	0,56
ALGT	0,47	0,54	0,54	0,54	0,60
JBLU	0,45	0,69	0,71	0,60	0,54
ALK	0,44	0,69	0,72	0,68	0,71
UAL	0,39	0,66	0,78	0,79	0,78
DAL	0,41	0,70	0,80	0,83	0,81

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	4	1	1	1	2
LUV	1	7	5	4	1
ULCC	2	2	4	6	7
ALGT	3	8	8	8	6
JBLU	5	4	7	7	8
ALK	6	5	6	5	5
UAL	8	6	3	3	4
DAL	7	3	2	2	3



- Ratio < 1 because it is airlines is a capital-intensive industry
 - Too low asset turnover means assets are not used efficiently
 - Too high asset turnover might signal risk-taking by reducing inventory
- In both case, profitability suffers, which explain negative returns

TOTAL ASSET TURNOVER

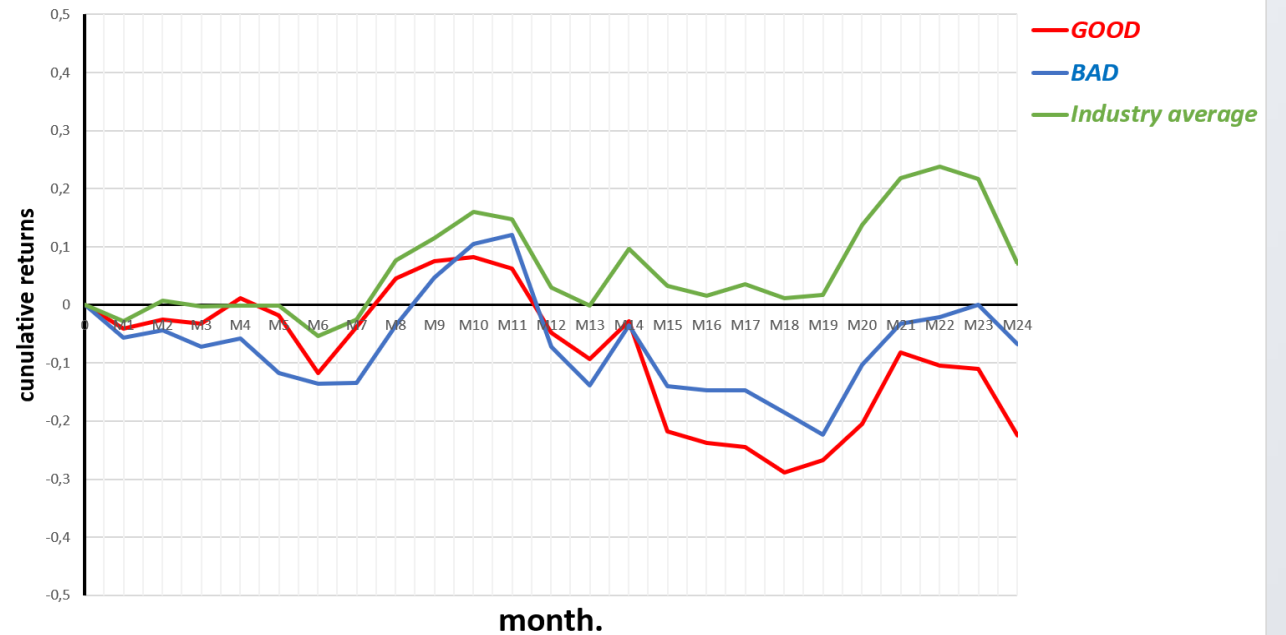
	2021	2022	2023	2024	2025
AAL	0,47	0,75	0,83	0,87	0,88
LUV	0,95	0,66	0,73	0,78	0,89
ULCC	0,53	0,74	0,76	0,68	0,56
ALGT	0,47	0,54	0,54	0,54	0,60
JBLU	0,45	0,69	0,71	0,60	0,54
ALK	0,44	0,69	0,72	0,68	0,71
UAL	0,39	0,66	0,78	0,79	0,78
DAL	0,41	0,70	0,80	0,83	0,81

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	4	1	1	1	2
LUV	1	7	5	4	1
ULCC	2	2	4	6	7
ALGT	3	8	8	8	6
JBLU	5	4	7	7	8
ALK	6	5	6	5	5
UAL	8	6	3	3	4
DAL	7	3	2	2	3

Total asset turnover



- Too high or too low asset turnover is not the optimal strategy
→ Industry Index proves that once again a better balance is the key

TIMES INTEREST EARNED

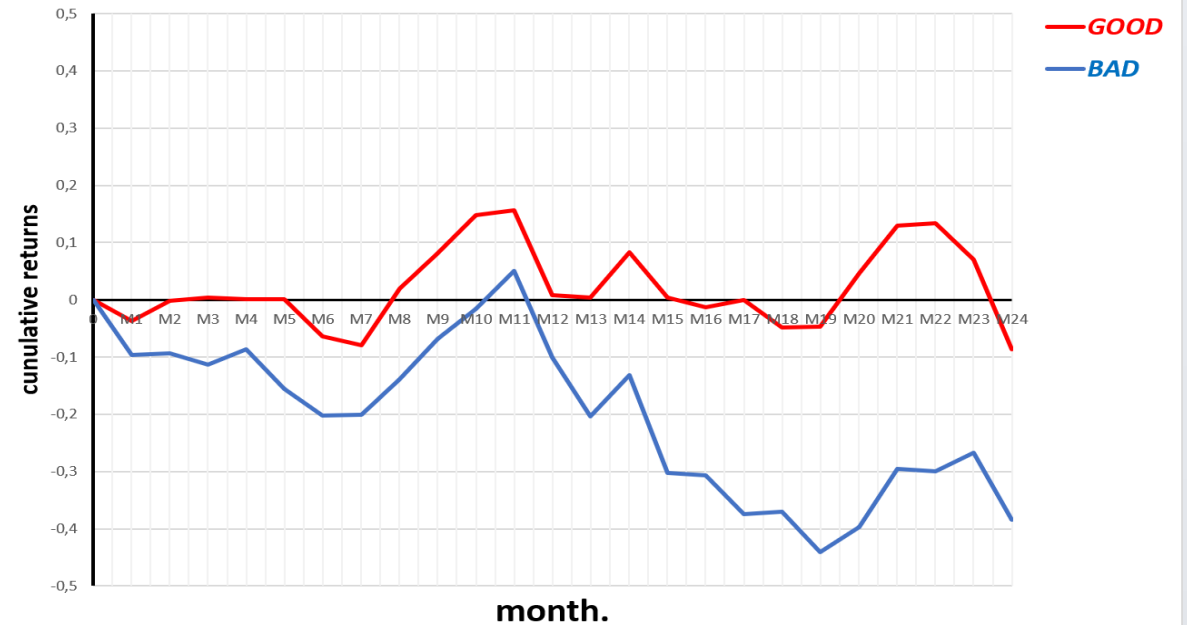
	2021	2022	2023	2024	2025
AAL	-0,64	0,82	1,41	1,35	0,85
LUV	3,69	2,99	0,86	1,30	2,56
ULCC	-2,14	-2,14	-0,10	1,61	-3,24
ALGT	3,84	0,79	1,44	-1,53	0,25
JBLU	-0,42	-1,80	-1,10	-1,87	-0,63
ALK	5,35	0,65	3,26	3,33	1,11
UAL	1,14	1,31	2,15	3,13	3,43
DAL	1,47	3,56	6,62	8,03	8,57

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	4	5	5	5
LUV	3	2	6	6	3
ULCC	8	8	7	4	8
ALGT	2	5	4	7	6
JBLU	6	7	8	8	7
ALK	1	6	2	2	4
UAL	5	3	3	3	2
DAL	4	1	1	1	1

Times interest earned



- Low-cost model carriers are failing to generate positive EBIT
 - They cannot absorb rising fixed costs
- Solvency risk is highly punished by the market

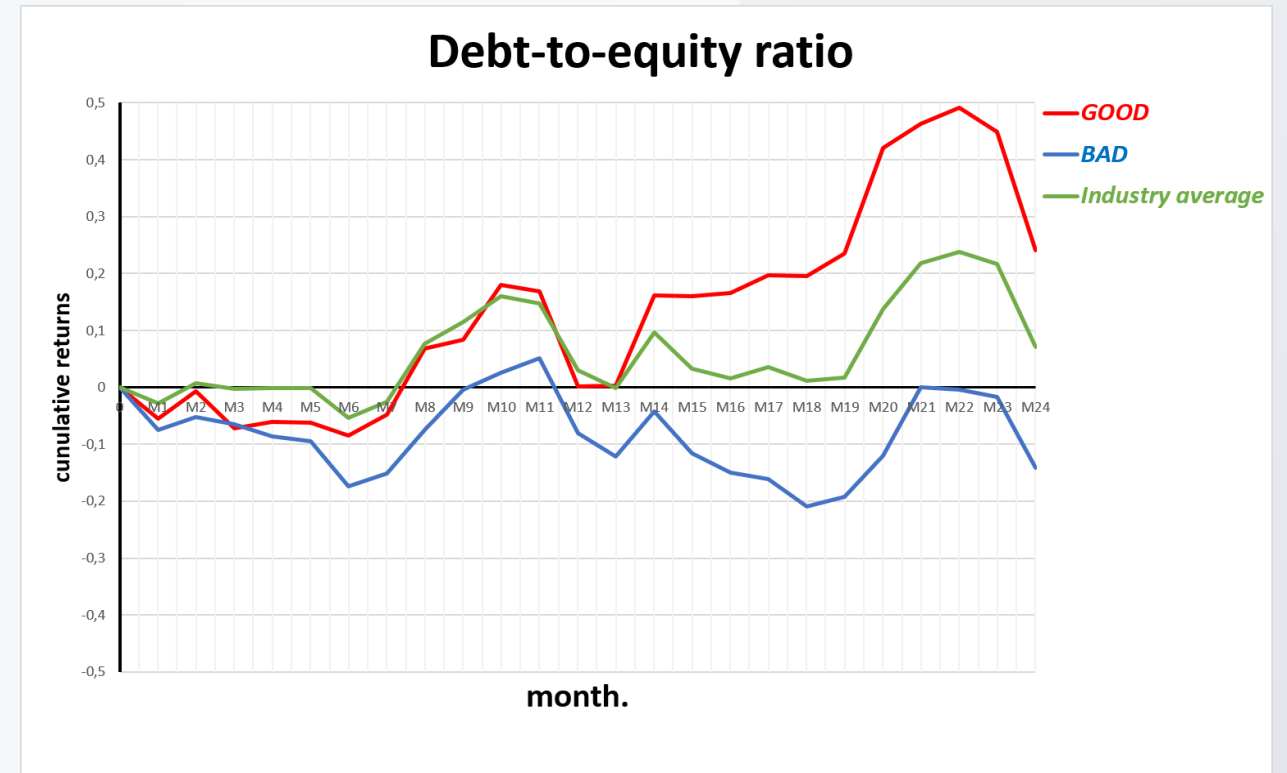
DEBT-TO-EQUITY RATIO

	2021	2022	2023	2024	2025
AAL	-10,06	-12,16	-13,12	-16,54	-17,57
LUV	2,49	2,31	2,47	2,26	2,64
ULCC	6,99	7,84	8,85	9,19	13,70
ALGT	2,26	2,70	2,67	3,07	3,00
JBLU	2,54	2,66	3,15	5,38	6,82
ALK	2,67	2,72	2,55	3,52	3,94
UAL	12,56	8,77	6,63	4,84	4,00
DAL	17,64	9,98	5,63	3,93	2,90

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	8	8	8	8	8
LUV	6	7	7	7	7
ULCC	3	3	1	1	1
ALGT	7	5	5	6	5
JBLU	5	6	4	2	2
ALK	4	4	6	5	4
UAL	2	2	2	3	3
DAL	1	1	3	4	6



- Highly financially leveraged airlines are rewarded
 - GOOD group is highly profitable models like Delta and United
- Investors encourage aggressive asset expansion

EQUITY MULTIPLIER

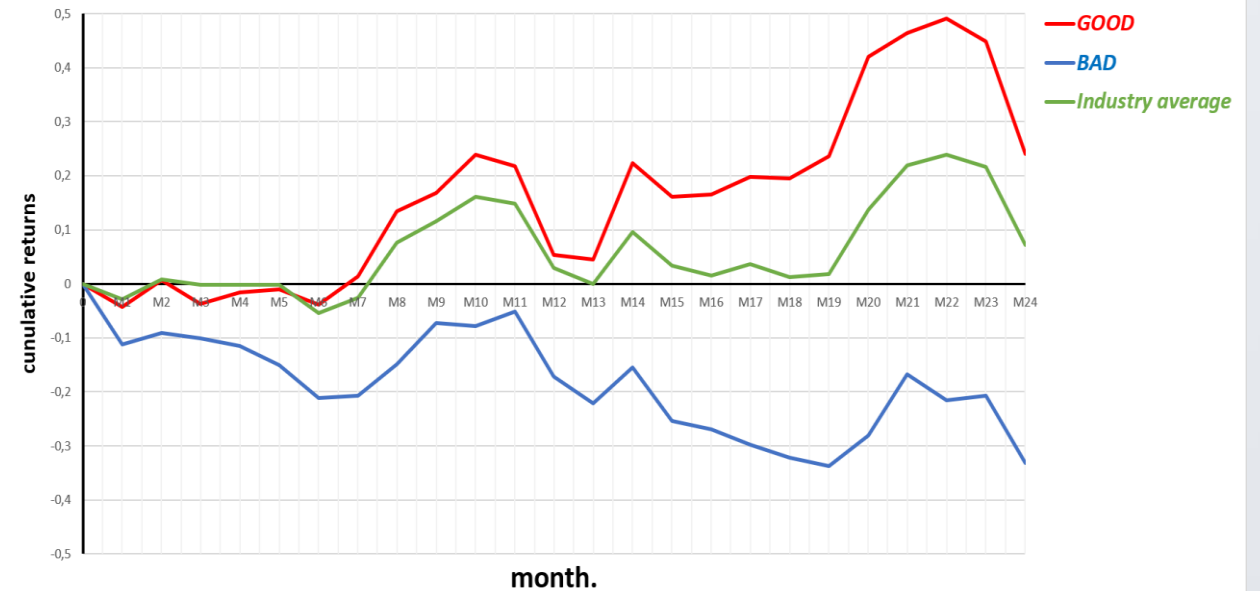
	2021	2022	2023	2024	2025
AAL	-9,04	-9,98	-11,61	-13,60	-16,04
LUV	1,72	1,56	1,36	1,21	0,92
ULCC	9,27	8,41	9,34	10,03	12,21
ALGT	3,77	3,48	3,68	3,84	4,03
JBLU	0,99	1,02	0,97	0,91	1,01
ALK	4,12	3,69	3,63	4,05	4,73
UAL	13,56	9,77	7,63	5,84	5,00
DAL	18,64	10,98	6,63	4,93	3,90

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	8	8	8	8	8
LUV	6	6	6	6	7
ULCC	3	3	1	1	1
ALGT	5	5	4	5	4
JBLU	7	7	7	7	6
ALK	4	4	5	4	3
UAL	2	2	2	2	2
DAL	1	1	3	3	5

Equity multiplier



- Highly financially leveraged airlines are rewarded
- GOOD group is highly profitable models like Delta and United
→ Investors envodemand aggressive leverage but require stable equity

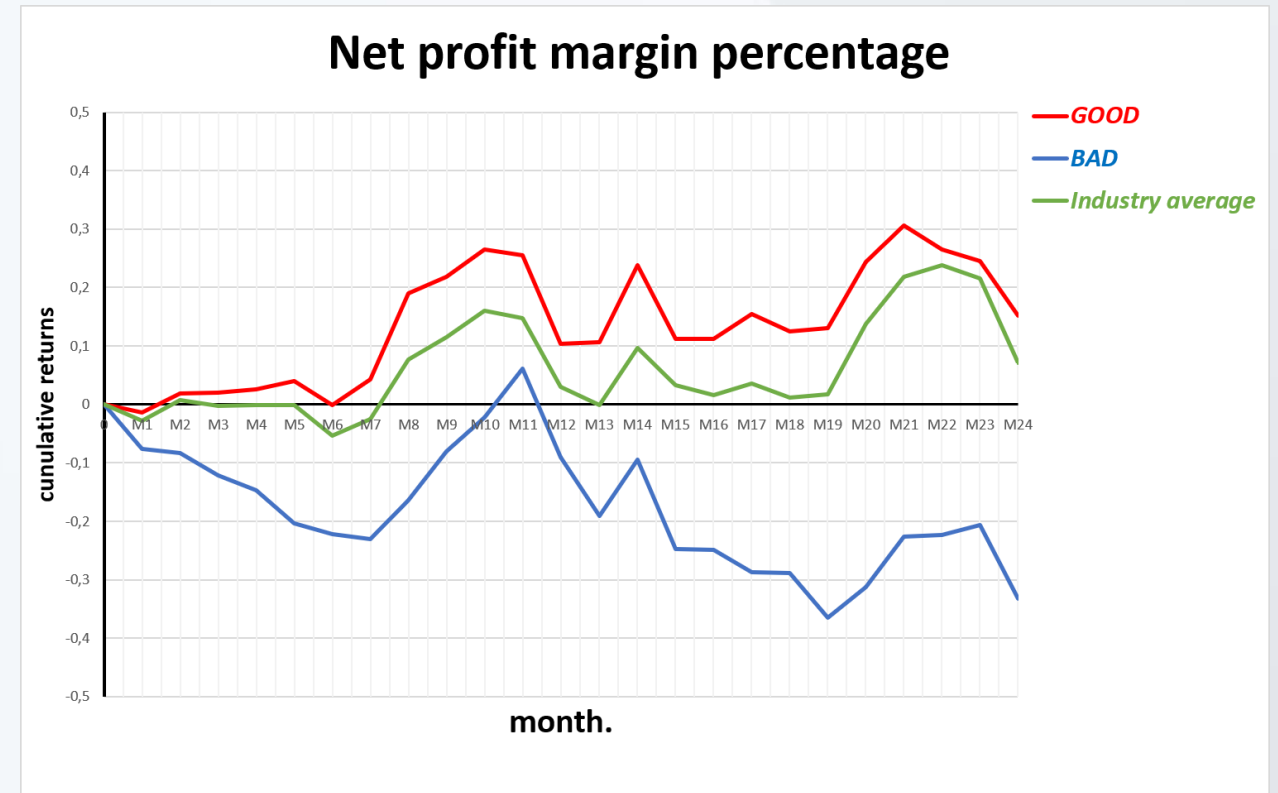
NET PROFIT MARGIN PERCENTAGE

	2021	2022	2023	2024	2025
AAL	-6,67%	0,26%	1,56%	1,56%	0,20%
LUV	6,19%	2,26%	1,78%	1,86%	1,82%
ULCC	-4,95%	-1,11%	-0,31%	2,25%	-3,68%
ALGT	8,89%	0,11%	4,69%	-9,57%	-1,71%
JBLU	-3,01%	-3,95%	-3,22%	-7,36%	-6,19%
ALK	7,74%	0,60%	2,25%	3,37%	0,70%
UAL	-7,97%	1,64%	4,87%	5,52%	5,68%
DAL	0,94%	2,61%	7,94%	5,61%	7,90%

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	5	6	6	5
LUV	3	2	5	5	3
ULCC	6	7	7	4	7
ALGT	1	6	3	8	6
JBLU	5	8	8	7	8
ALK	2	4	4	3	4
UAL	8	3	2	2	2
DAL	4	1	1	1	1



- Most profitable airlines are top carriers
 - Low-cost models without profit cannot generate shareholders returns
- In capital-heavy sector, strong margins are essential

RETURN ON ASSET (ROA)

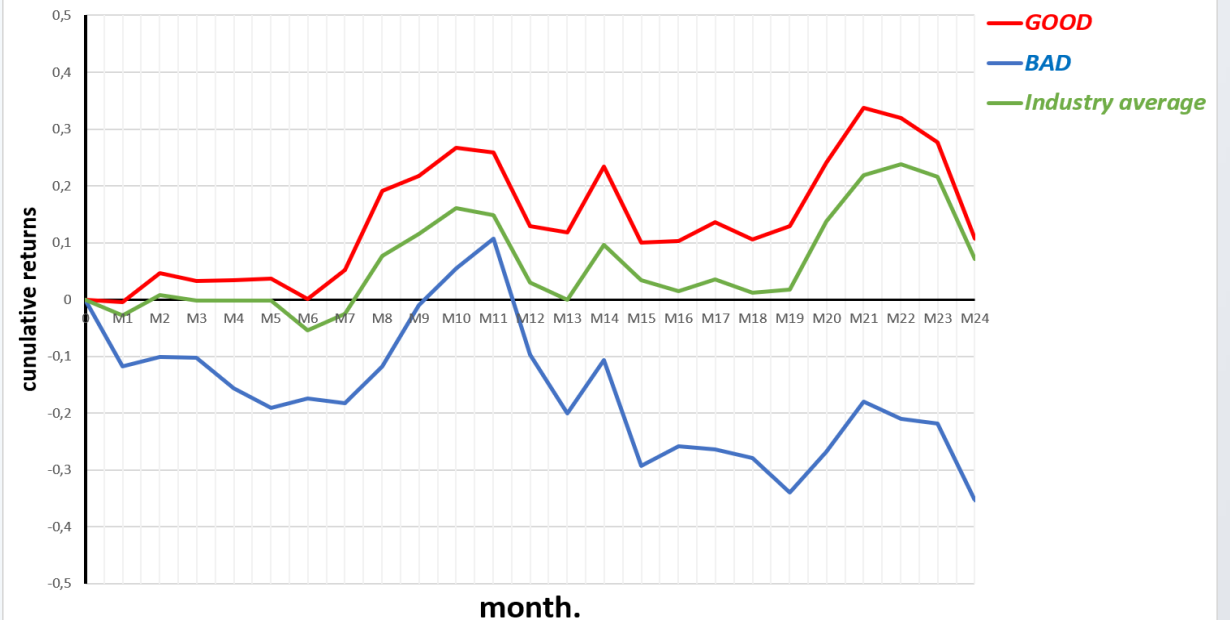
	2021	2022	2023	2024	2025
AAL	-6,67%	0,26%	1,56%	1,56%	0,20%
LUV	6,19%	2,26%	1,78%	1,86%	1,82%
ULCC	-4,95%	-1,11%	-0,31%	2,25%	-3,68%
ALGT	8,89%	0,11%	4,69%	-9,57%	-1,71%
JBLU	-3,01%	-3,95%	-3,22%	-7,36%	-6,19%
ALK	7,74%	0,60%	2,25%	3,37%	0,70%
UAL	-7,97%	1,64%	4,87%	5,52%	5,68%
DAL	0,94%	2,61%	7,94%	5,61%	7,90%

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	5	6	6	5
LUV	3	2	5	5	3
ULCC	6	7	7	4	7
ALGT	1	6	3	8	6
JBLU	5	8	8	7	8
ALK	2	4	4	3	4
UAL	8	3	2	2	2
DAL	4	1	1	1	1

Return on total assets (ROA)



- GOOD portfolio outpaces the BAD group by reaching up to 30%
 - Market favors greatly profit generating airlines
 - Further proof that low-cost models are suffering

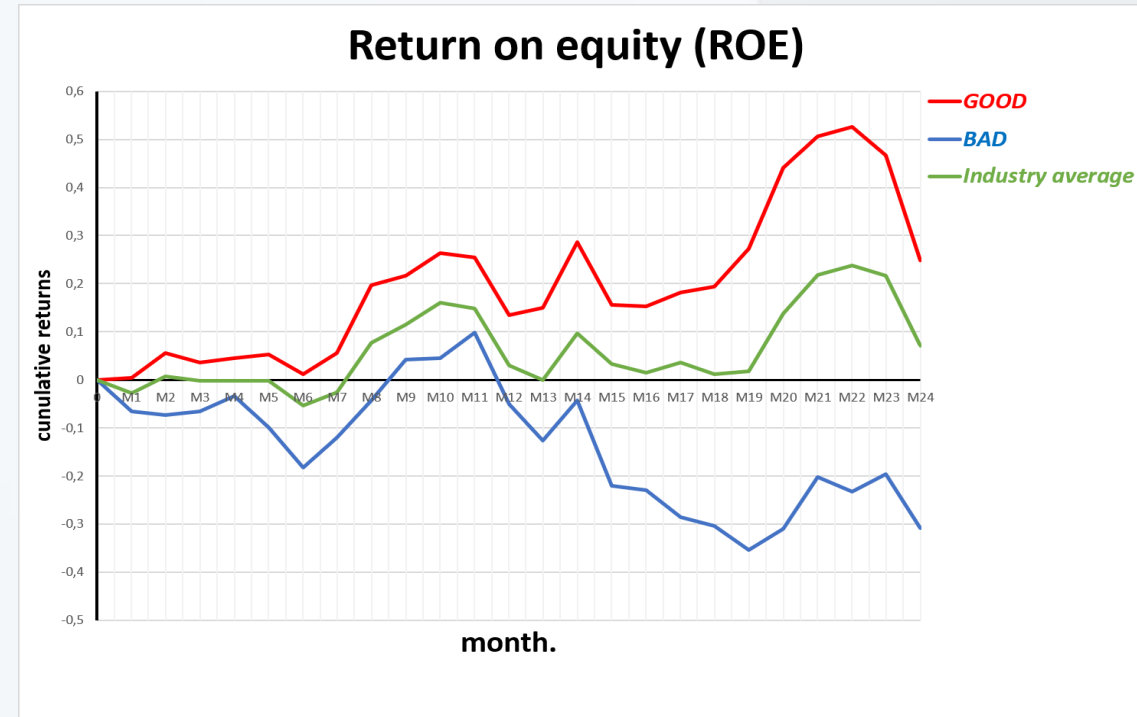
RETURN ON EQUITY (ROE)

	2021	2022	2023	2024	2025
AAL	28,06%	-1,93%	-14,94%	-18,43%	-2,88%
LUV	10,13%	5,11%	4,39%	4,46%	4,81%
ULCC	-24,29%	-7,12%	-2,17%	15,30%	-25,02%
ALGT	15,79%	0,20%	9,23%	-19,87%	-4,17%
JBLU	-1,33%	-2,78%	-2,24%	-4,06%	-3,39%
ALK	14,08%	1,52%	5,93%	9,31%	2,36%
UAL	-35,74%	12,36%	32,28%	28,63%	23,99%
DAL	10,33%	25,18%	52,12%	26,19%	27,69%

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	1	6	8	7	5
LUV	5	3	5	5	3
ULCC	7	8	6	3	8
ALGT	2	5	3	8	7
JBLU	6	7	7	6	6
ALK	3	4	4	4	4
UAL	8	2	2	1	2
DAL	4	1	1	2	1



- High ROE has an even greater impact on returns than high ROA
 - Investors are especially looking at this ratio
- They favor airlines with high ROE, mostly big carriers

RETURN ON EQUITY (ROE)

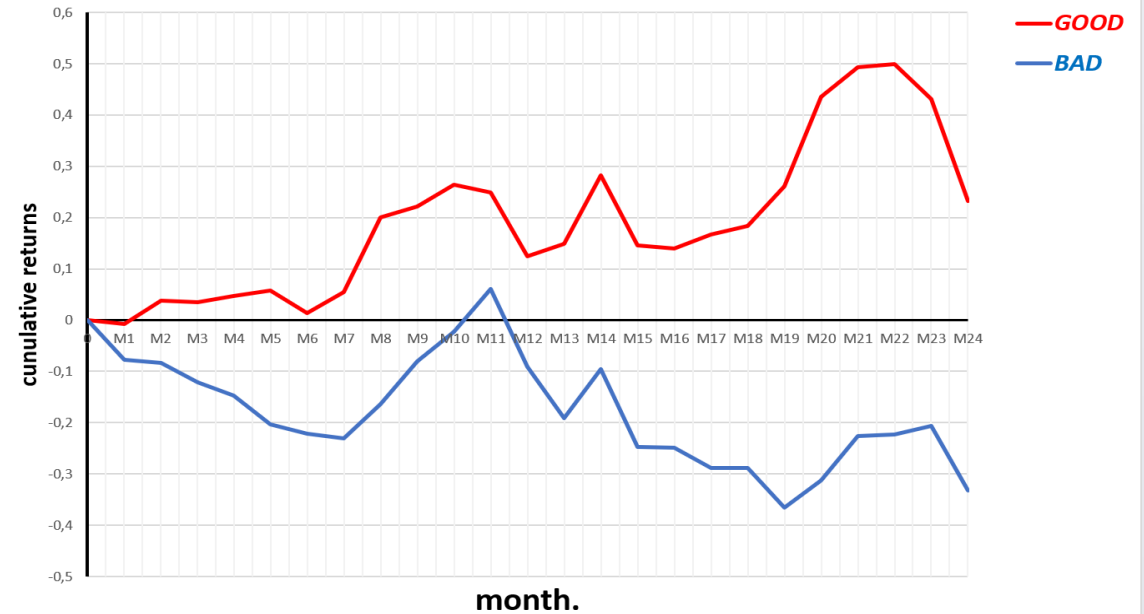
	2021	2022	2023	2024	2025
AAL	-3,09	0,20	1,26	1,29	0,17
LUV	1,60	0,87	0,76	0,75	0,79
ULCC	-0,48	-0,17	-0,05	0,37	-0,60
ALGT	8,68	0,14	6,29	-13,49	-2,48
JBLU	-0,55	-1,08	-0,92	-2,02	-1,66
ALK	3,87	0,46	1,85	3,12	0,80
UAL	-6,10	2,23	7,89	9,45	10,20
DAL	0,44	2,06	7,17	7,25	7,66

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	5	5	4	5
LUV	3	3	6	5	4
ULCC	5	7	7	6	6
ALGT	1	6	3	8	8
JBLU	6	8	8	7	7
ALK	2	4	4	3	3
UAL	8	1	1	1	1
DAL	4	2	2	2	2

Earnings per share



- Structural shift from low-cost carriers at the top to big carriers
→ EPS a reliable predictor for strong stock performance

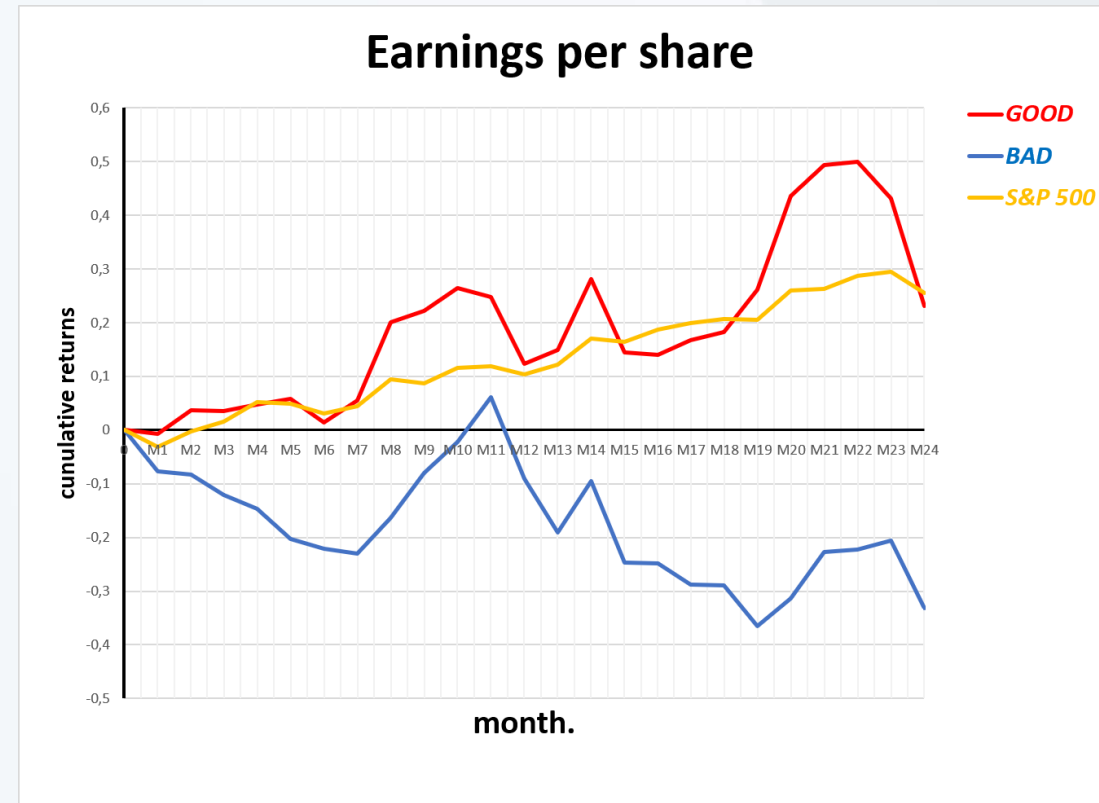
EARNINGS PER SHARE

	2021	2022	2023	2024	2025
AAL	-3,09	0,20	1,26	1,29	0,17
LUV	1,60	0,87	0,76	0,75	0,79
ULCC	-0,48	-0,17	-0,05	0,37	-0,60
ALGT	8,68	0,14	6,29	-13,49	-2,48
JBLU	-0,55	-1,08	-0,92	-2,02	-1,66
ALK	3,87	0,46	1,85	3,12	0,80
UAL	-6,10	2,23	7,89	9,45	10,20
DAL	0,44	2,06	7,17	7,25	7,66

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	7	5	5	4	5
LUV	3	3	6	5	4
ULCC	5	7	7	6	6
ALGT	1	6	3	8	8
JBLU	6	8	8	7	7
ALK	2	4	4	3	3
UAL	8	1	1	1	1
DAL	4	2	2	2	2



- High EPS Airlines actually beat the market
- They generate true market alpha
- They outpace the broader index by almost 20% returns in month 22

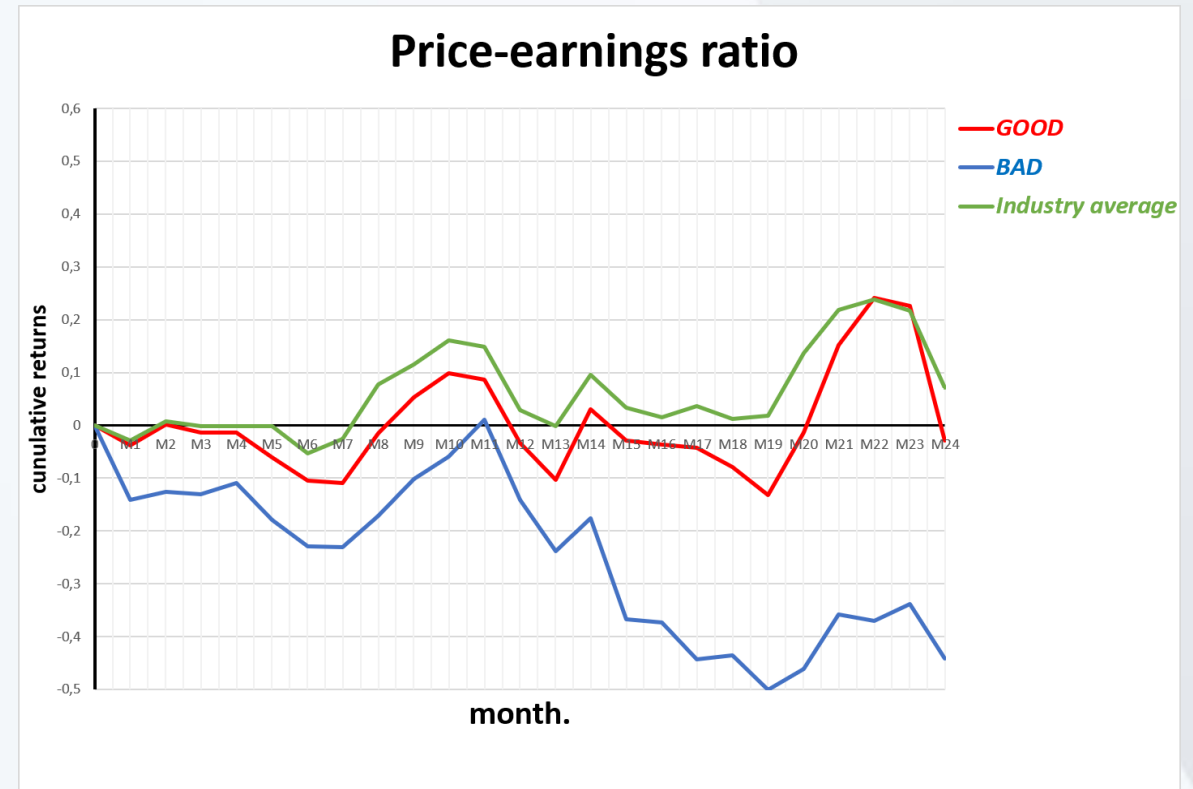
PRICE-EARNINGS RATIO

	2021	2022	2023	2024	2025
AAL	-5,80	65,14	10,93	13,54	91,15
LUV	24,74	35,69	36,36	43,43	51,95
ULCC	-28,27	-60,41	-109,20	18,92	-7,85
ALGT	21,55	485,64	13,13	-6,98	-34,38
JBLU	-24,56	-7,59	-8,06	-2,61	-3,04
ALK	13,79	100,44	23,77	11,81	48,08
UAL	-7,03	21,96	5,24	11,20	10,03
DAL	87,52	18,41	5,32	9,14	8,58

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	5	3	4	3	1
LUV	2	4	1	1	2
ULCC	8	8	8	2	7
ALGT	3	1	3	8	8
JBLU	7	7	7	7	6
ALK	4	2	2	4	3
UAL	6	5	6	5	4
DAL	1	6	5	6	5



- Low P/E ratios airlines are low-cost carriers
- High P/E airlines track the Industry Index
- High P/E does not guarantee better returns than Industry Index
- Low P/E guarantee lower returns

DIVIDEND PAYOUT RATIO

	2021	2022	2023	2024	2025
AAL	0,00%	0,00%	0,00%	0,00%	0,00%
LUV	0,00%	19,85%	92,20%	92,40%	87,30%
ULCC	0,00%	0,00%	0,00%	0,00%	0,00%
ALGT	0,00%	0,00%	18,80%	-8,90%	0,00%
JBLU	0,00%	0,00%	0,00%	0,00%	0,00%
ALK	0,00%	0,00%	0,00%	0,00%	0,00%
UAL	0,00%	0,00%	0,00%	0,00%	0,00%
DAL	0,00%	0,00%	2,78%	9,29%	8,79%

	2021	2022	2023	2024	2025
AAL	1	2	4	3	3
LUV	1	1	1	1	1
ULCC	1	2	4	3	3
ALGT	1	2	2	8	3
JBLU	1	2	4	3	3
ALK	1	2	4	3	3
UAL	1	2	4	3	3
DAL	1	2	3	2	2

DIVIDEND YIELD RATIO

	2021	2022	2023	2024	2025
AAL	0,00%	0,00%	0,00%	0,00%	0,00%
LUV	0,00%	0,58%	2,62%	2,20%	1,75%
ULCC	0,00%	0,00%	0,00%	0,00%	0,00%
ALGT	0,00%	0,00%	1,45%	1,41%	0,00%
JBLU	0,00%	0,00%	0,00%	0,00%	0,00%
ALK	0,00%	0,00%	0,00%	0,00%	0,00%
UAL	0,00%	0,00%	0,00%	0,00%	0,00%
DAL	0,00%	0,00%	0,07%	0,14%	0,13%

	2021	2022	2023	2024	2025
AAL	1	2	4	4	3
LUV	1	1	1	1	1
ULCC	1	2	4	4	3
ALGT	1	2	2	2	3
JBLU	1	2	4	4	3
ALK	1	2	4	4	3
UAL	1	2	4	4	3
DAL	1	2	3	3	2

DIVIDEND YIELD RATIO

	2021	2022	2023	2024	2025
AAL	-5,80	65,14	10,93	13,54	91,15
LUV	24,74	35,69	36,36	43,43	51,95
ULCC	-28,27	-60,41	-109,20	18,92	-7,85
ALGT	21,55	485,64	13,13	-6,98	-34,38
JBLU	-24,56	-7,59	-8,06	-2,61	-3,04
ALK	13,79	100,44	23,77	11,81	48,08
UAL	-7,03	21,96	5,24	11,20	10,03
DAL	87,52	18,41	5,32	9,14	8,58

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	5	3	4	3	1
LUV	2	4	1	1	2
ULCC	8	8	8	2	7
ALGT	3	1	3	8	8
JBLU	7	7	7	7	6
ALK	4	2	2	4	3
UAL	6	5	6	5	4
DAL	1	6	5	6	5

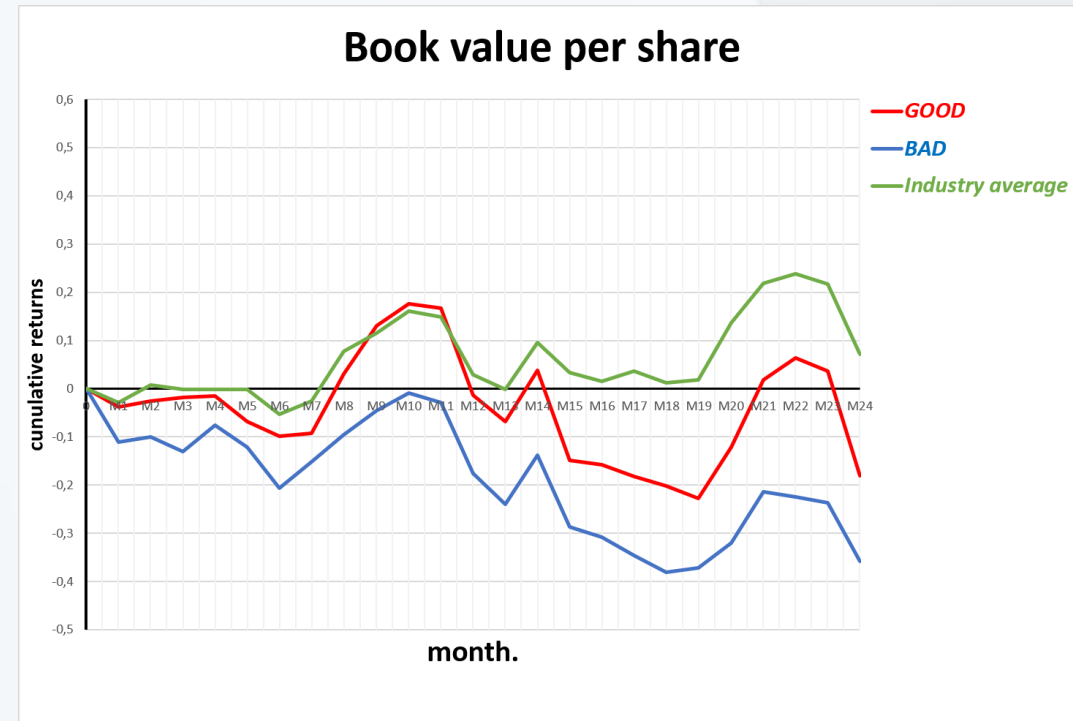
BOOK VALUE PER SHARE

	2021	2022	2023	2024	2025
AAL	-11,33	-8,91	-7,95	-6,05	-5,64
LUV	17,59	18,02	17,67	17,31	14,78
ULCC	2,51	2,34	2,28	2,67	2,16
ALGT	71,09	67,97	74,04	61,02	58,32
JBLU	11,57	10,58	9,89	7,82	6,27
ALK	30,76	30,51	32,46	34,48	33,06
UAL	15,62	20,89	28,09	38,04	46,52
DAL	6,06	10,27	17,27	23,60	31,89

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	8	8	8	8	8
LUV	3	4	4	5	5
ULCC	7	7	7	7	7
ALGT	1	1	1	1	1
JBLU	5	5	6	6	6
ALK	2	2	2	3	3
UAL	4	3	3	2	2
DAL	6	6	5	4	4



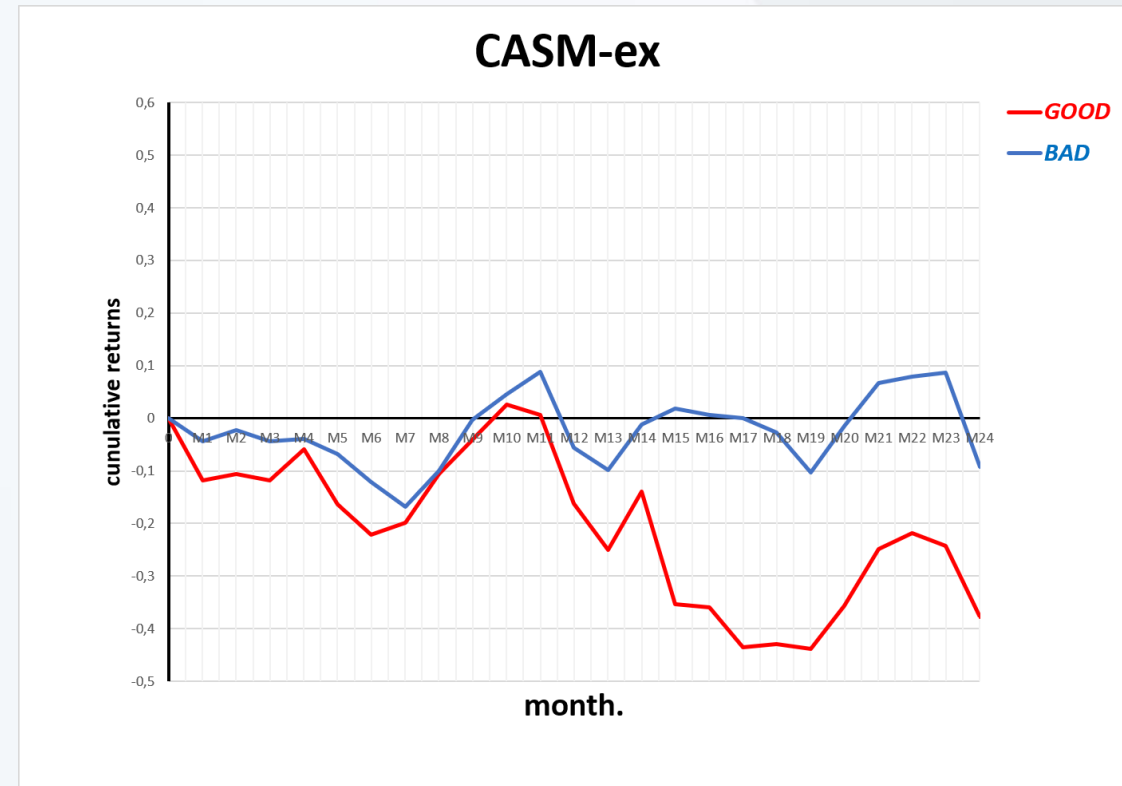
- High BPS does not easily translate into market-beating return
→ Caution from investors because high BPS is irrelevant in aviation unless planes actively generate earnings

CASM-ex

	2021	2022	2023	2024	2025
AAL	13,33	12,83	13,15	13,50	14,12
LUV	7,98	11,25	11,47	11,99	12,38
ULCC	5,96	6,90	6,51	6,71	7,41
ALGT	5,74	7,33	8,12	8,56	8,04
JBLU	13,05	14,48	15,23	16,11	15,84
ALK	11,52	13,21	13,82	14,03	14,31
UAL	13,24	12,85	12,15	12,35	12,42
DAL	14,12	13,50	13,25	13,38	13,45

GOOD	BAD
------	-----

	2021	2022	2023	2024	2025
AAL	7	4	5	6	6
LUV	3	3	3	3	3
ULCC	2	1	1	1	1
ALGT	1	2	2	2	2
JBLU	5	8	8	8	8
ALK	4	6	7	7	7
UAL	6	5	4	4	4
DAL	8	7	6	5	5



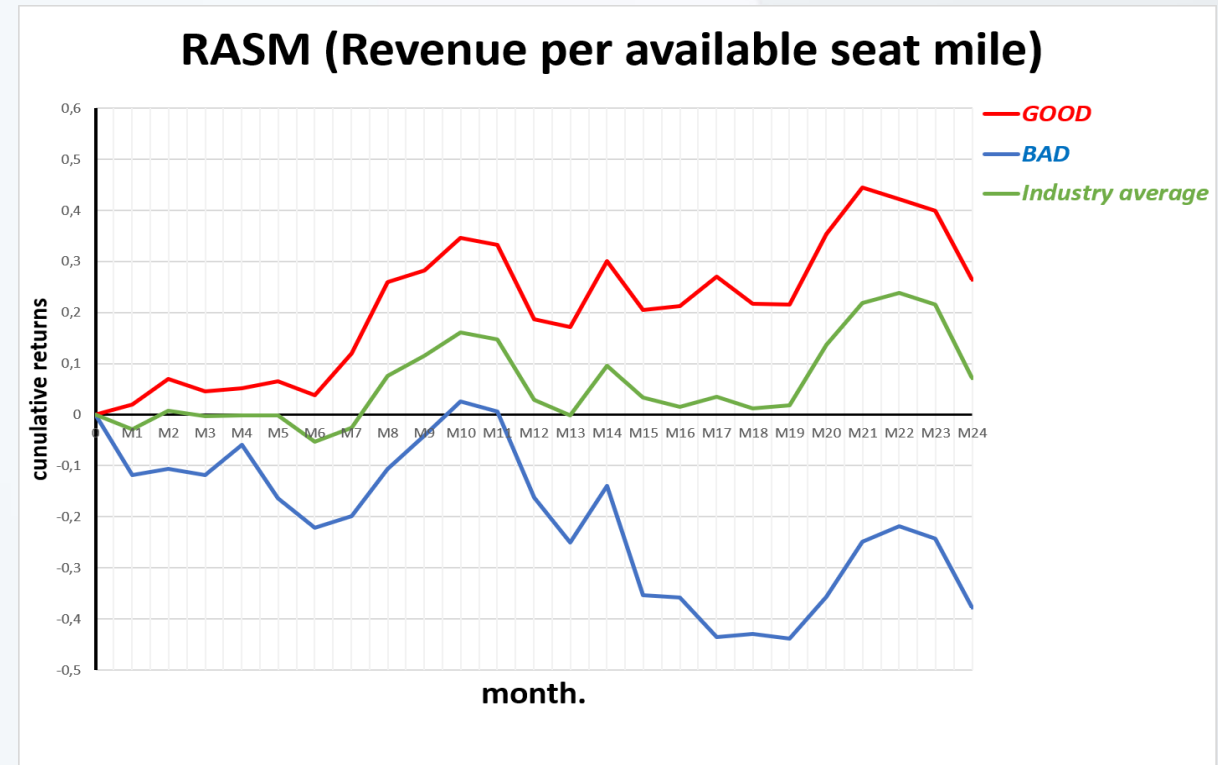
- Reflect the difference between business models
 - Less cost-efficient airlines are not legacy carriers
- Investors don't reward cost-efficient airlines

RASM (Revenue per available seat mile)

	2021	2022	2023	2024	2025
AAL	13,93	18,82	19,01	18,51	18,25
LUV	11,96	16,04	15,32	15,51	15,59
ULCC	7,67	10,48	9,49	9,47	9,37
ALGT	9,78	12,50	13,38	12,88	11,93
JBLU	11,52	13,21	13,82	14,03	14,31
ALK	11,78	15,87	15,21	15,41	15,32
UAL	13,95	18,75	20,42	19,85	20,15
DAL	14,54	19,34	21,65	20,85	20,65

GOOD	BAD
------	-----

	2021	2022	2023	2024	2025
AAL	3	2	3	3	3
LUV	4	4	4	4	4
ULCC	8	8	8	8	8
ALGT	7	7	7	7	7
JBLU	6	6	6	6	6
ALK	5	5	5	5	5
UAL	2	3	2	2	2
DAL	1	1	1	1	1



- High RASM airlines outperforms
- Primary metric for driving better market returns in this industry
→ ASM is a highly reliable indicator of stock market success

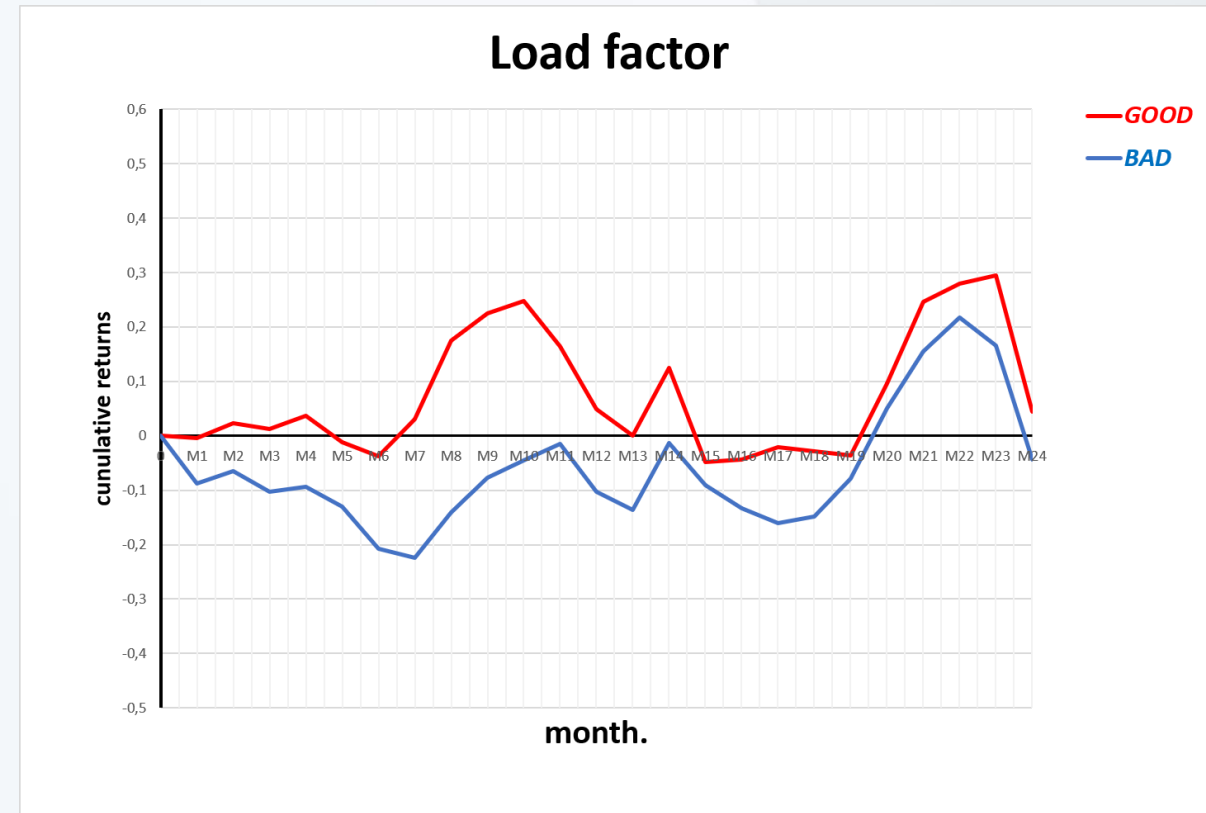
LOAD FACTOR

	2021	2022	2023	2024	2025
AAL	76,70%	83,40%	83,50%	84,90%	83,60%
LUV	81,60%	83,40%	80,00%	80,40%	77,40%
ULCC	75,90%	80,90%	81,40%	76,80%	78,40%
ALGT	70,30%	85,00%	85,90%	83,60%	82,00%
JBLU	76,00%	81,50%	82,60%	83,20%	82,40%
ALK	73,60%	84,50%	83,70%	83,90%	82,90%
UAL	72,20%	80,60%	85,10%	86,40%	87,20%
DAL	69,00%	83,00%	85,00%	86,00%	87,00%

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	2	4	5	3	3
LUV	1	3	8	7	8
ULCC	4	7	7	8	7
ALGT	7	1	1	5	6
JBLU	3	6	6	6	5
ALK	5	2	4	4	4
UAL	6	8	2	1	1
DAL	8	5	3	2	2



- An advantage for higher load factor airlines
- Load Factor alone is an incomplete metric

LOAD FACTOR

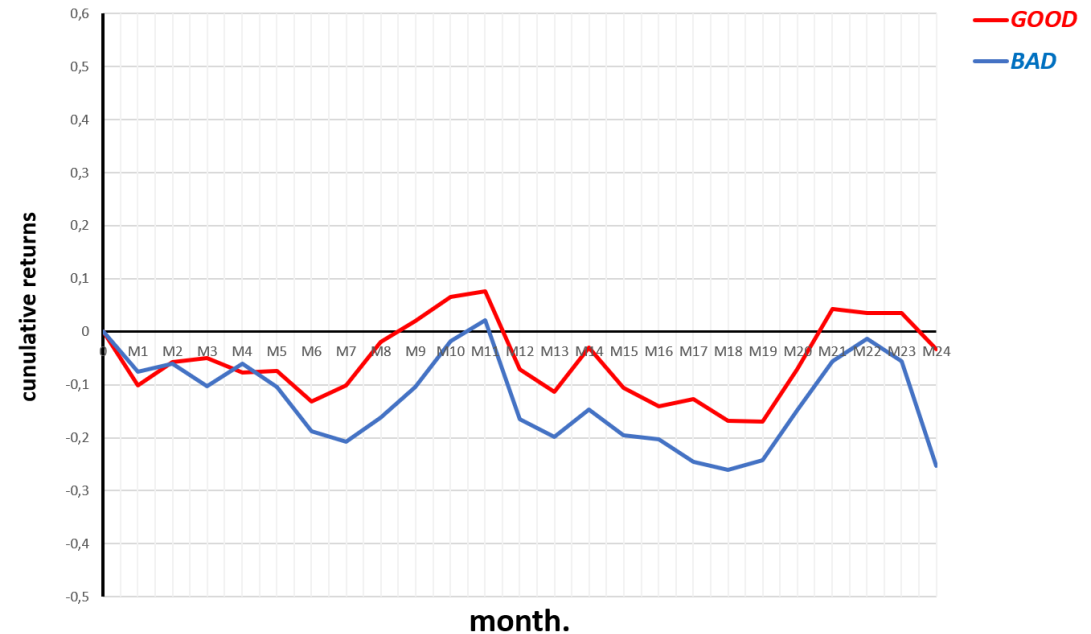
	2021	2022	2023	2024	2025
AAL	2,01	3,17	2,96	2,60	2,39
LUV	1,98	3,07	2,89	2,66	2,41
ULCC	2,17	3,72	3,10	2,48	2,44
ALGT	2,20	3,30	3,05	3,00	2,90
JBLU	1,91	3,32	3,05	3,08	2,95
ALK	1,97	3,36	3,07	3,02	2,89
UAL	2,14	3,63	2,95	2,88	2,72
DAL	2,02	3,36	2,82	2,75	2,58

GOOD

BAD

	2021	2022	2023	2024	2025
AAL	4	2	4	2	1
LUV	3	1	2	3	2
ULCC	7	8	8	1	3
ALGT	8	3	5	6	7
JBLU	1	4	5	8	8
ALK	2	5	7	7	6
UAL	6	7	3	5	5
DAL	5	5	1	4	4

Fuel price



- Budget models airlines struggle to secure best prices
→ Better returns when negotiating most competitive fuel price

CONCLUSION

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